

Taiwan Energy

A rising (AI) tide lifts all boats: Raise NPC PT to NT\$300 post-2Q beat; Formosa Group pre-tax could rise 50x to >NT\$200bn in 2026

We are raising our earnings estimates and PT after Formosa group's 2Q beat, and remain OW with the pecking order of NPC > FPC/FCFC > FPCC. We now forecast NPC's electronic material OPM to rise to a new record high of 30% in 2027 (previous: 18%), driven by the company's successful entry into T-glass and AI-grade CCL, and persistent shortages in commodity-grade electronic materials. We forecast NPC's 2026/2027 EPS to rise to a new record high of 10.9/17.8, and note that NPC is likely the cheapest stock within the PCB supply chain, trading at 10x 2027E P/E. **Our new PT of NT\$300 is based on a 5x P/B, reflecting an estimated rise in the ROE to 36% by 2028, and implying a 17x 2027E P/E.** Our 2027 DPS forecast of 13.3 is 7% of the current share price and 4% of our PT.

- **2Q beat! NPC EPS rises to 3.37 on electronic materials strength:** NPC's 2Q EPS of 3.37 beat Bloomberg consensus of 2.0 and buy-side expectations of 2.5-3.0. This came from strength in electronic materials, equity method income from NYT and chemicals. We forecast slightly weaker chemical earnings contribution in 3Q absent one-off gains from the Middle East conflict, but for NPC's 2H EPS to remain above 5.7, resulting in FY26 EPS rising to a new record high of 10.9/sh.
- **Electronic materials OPM might exceed 30% this cycle:** We are raising NPC's 2027 electronic materials OPM to 30% (previous: 18%) due to faster than expected volume growth and price hikes in NPC's CCL and glass fiber divisions. We forecast +230% y/y and 80% y/y revenue growth for glass fiber and CCL in 2026, respectively. Against a backdrop of persistent glass fiber shortages, NPC's inventory of over 4300 weaving looms and integrated production model across glass fiber (E glass to T glass), copper foil (RTF, HVLPI-3), CCL (M4-M8, pending new products M3, M9, M10), Epoxy and PCB gives it strong production stability, price competitiveness and the ability to expand market share whilst competitors face sourcing challenges, in our view. We continue to forecast specialty grade as forming >50% of the revenue mix by 2028, versus <10% in 2025.
- **Commodity-grade electronic material upcycle might persist through 2028:** Whereas the 2015 and 2020 upcycles in commodity-grade electronic materials typically lasted only 2-3 years as it takes 1-2 years to build new capacity, we see potential for the current upcycle to be deeper and longer than previous cycles. This is due to AI-driven demand for specialty electronic materials but also commodity grade electronic materials for general servers to run inference/processing (JPMe 2026 general server demand growth of >15%,

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev End Date	
Nan Ya Plastics Corp	1303 TT	44,719	TWD	181.50	OW	n/c	300.00	Dec-27	200.00	n/c
Formosa Petrochemical Corp	6505 TT	17,401	TWD	58.80	OW	n/c	70.00	Jun-27	65.00	n/c
Formosa Plastics Corp	1301 TT	10,837	TWD	54.80	OW	n/c	65.00	Jun-27	60.00	n/c
Formosa Chemicals and Fibre Corp	1326 TT	10,925	TWD	60.00	OW	n/c	70.00	Jun-27	60.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 09 Jul 26.

See page 30 for analyst certification and important disclosures, including non-US analyst disclosures.

the highest in over a decade). Simultaneously, as producers convert capacity to produce more AI grade, capacity conversion losses will result in lower than usual supply growth. We view capacity conversion losses as the most pronounced for glass cloth, potentially exacerbating the shortage caused by an increase in demand for low-DK 2 (NER cloth) in 2H26/2027 as new GPU and ASIC chips enter mass production.

- **Nvidia denies Kyber delay – M10 CCL presents upside optionality if realized:** On 5 July, semiconductor research firm SemiAnalysis claimed that Nvidia's Kyber NVL144 launch will be delayed by over 12 months to 2028 due to manufacturing difficulties with its PCB midplane. This claim was swiftly denied by Nvidia ([TechTimes](#)) the following day, with a company representative commenting that "our roadmap is intact". Kyber NVL144 is Nvidia's next-gen AI server rack architecture designed for the 2027 Rubin Ultra chip – set to integrate 144 GPUs into a single rack unit, a doubling of the current NVL72 system. The 78-layer midplane PCB is reportedly considering adopting M9 grade CCL, Q-glass, and PTFE hybrid materials. We do not yet model in M9/10 earnings contribution for NPC, though our channel checks indicate that the company is making steady progress on qualification. Incorporating 10% M9/10 market share might present >NT\$4.5bn upside to our 2028 estimates, if realized.
- **Raise NPC FY26-28 NP by 27-32%; JPMe 28-78% above Street:** We are raising earnings across electronic materials, chemicals and equity method income from NYT after the 2Q beat. Our revised estimates assume an NYT NP of NT\$308/357bn in 2027/2028. If we assume the Street-high NYT NP of NT\$451/702bn, this would increase our NPC EPS by a further 3.75/8.7. We are also raising EPS/PTs for the rest of the Formosa group to reflect stronger dividend income and chemical spreads. As shown in Figure 1, our FY26 EPS for NPC/FPCC/FPC/FCFC is 32%/46%/51%/66% above consensus.
- **The return of Taiwan's dividend darlings:** On 25 Feb. 2026, we noted that 2026 would likely mark the start of a multi-year dividend income upcycle for Formosa group, given its circular ownership structure (Figure 3). We note that FPC/FPCC/FCFC/NPC have very strong balance sheets and typically 70-80% dividend payout ratios. Whereas the 2017-2025 downcycle saw a negative dividend income feedback loop for Formosa group, the current upcycle will likely give rise to a positive feedback loop as this year's dividend income is determined by last year's NP, resulting in a gradual multi-year upcycle even for other Formosa group companies that have lower direct AI exposure.

Figure 1: Formosa Group earnings changes

bn NT\$	Current			Previous			Change			Consensus				JPM v Cons		
	26E	27E	28E	26E	27E	28E	26E	27E	28E	25E	26E	27E	28E	26E	27E	28E
Formosa Group																
NPC																
Revenue	366.1	489.5	570.2	304.5	377.0	419.8	20%	30%	36%	264.2	309.6	358.3	419.8	18%	37%	36%
OP	39.2	95.2	102.8	29.6	57.9	77.6	33%	65%	32%	4.3	26.8	39.2	51.3	46%	143%	101%
NP	86.8	140.7	153.8	68.5	106.3	120.3	27%	32%	28%	3.4	65.7	78.9	120.3	32%	78%	28%
DPS	7.7	13.3	15.5	6.0	10.1	12.1	27%	32%	28%	0.5	5.7	7.5	12.1	33%	77%	28%
PT (NT\$/sh)			300.0			200.0										
Rating			OW			OW										
ROE%	24%	35%	36%													
DPS as % curr px	4%	7%	9%													
FPCC																
Revenue	815.7	751.2	731.7	815.5	750.3	730.8	0%	0%	0%	635.4	687.8	683.6	730.8	19%	10%	0%
OP	47.2	25.1	25.1	37.0	36.3	47.6	28%	-31%	-47%	13.1	38.1	28.8	31.3	24%	-13%	-20%
NP	55.8	38.2	60.6	34.8	39.1	51.9	60%	-2%	17%	12.5	38.3	29.6	51.9	46%	29%	17%
DPS	4.4	4.4	4.8	2.7	3.1	4.1	60%	43%	17%	1.1	2.6	2.2	4.1	69%	104%	17%
PT (NT\$/sh)			70.0			65.0										
Rating			OW			OW										
DPS as % curr px	7%	7%	8%													
FPC																
Revenue	173.0	184.3	189.8	167.8	176.7	184.3	3%	4%	3%	180.6	173.2	178.9	184.3	0%	3%	3%
OP	-0.5	0.0	0.8	-2.3	-1.5	-0.7	na	na	na	-4.8	-3.4	0.6	0.8	na	na	na
NP	11.1	14.3	25.3	5.5	12.2	18.4	103%	18%	38%	-3.9	8.0	9.7	18.4	40%	47%	38%
DPS	1.2	1.6	2.8	0.6	1.3	2.0	104%	17%	38%	0.4	1.0	1.1	2.0	21%	45%	38%
PT (NT\$/sh)			65.0			60.0										
Rating			OW			OW										
DPS as % curr px	2%	3%	5%													
FCFC																
Revenue	329.1	334.2	347.8	323.7	320.8	327.6	2%	4%	6%	309.0	313.6	305.2	327.6	5%	10%	6%
OP	11.2	8.4	9.4	3.7	1.4	1.8	202%	508%	438%	-4.6	6.8	5.5	1.8	65%	52%	438%
NP	19.7	26.0	46.2	11.9	16.4	23.6	65%	58%	96%	-6.0	11.8	11.8	23.6	66%	120%	96%
DPS	2.5	3.3	5.9	1.5	2.1	3.0	65%	58%	96%	0.3	1.9	1.6	3.0	34%	109%	96%
PT (NT\$/sh)			70.0			60.0										
Rating			OW			OW										
DPS as % curr px	4%	6%	10%													

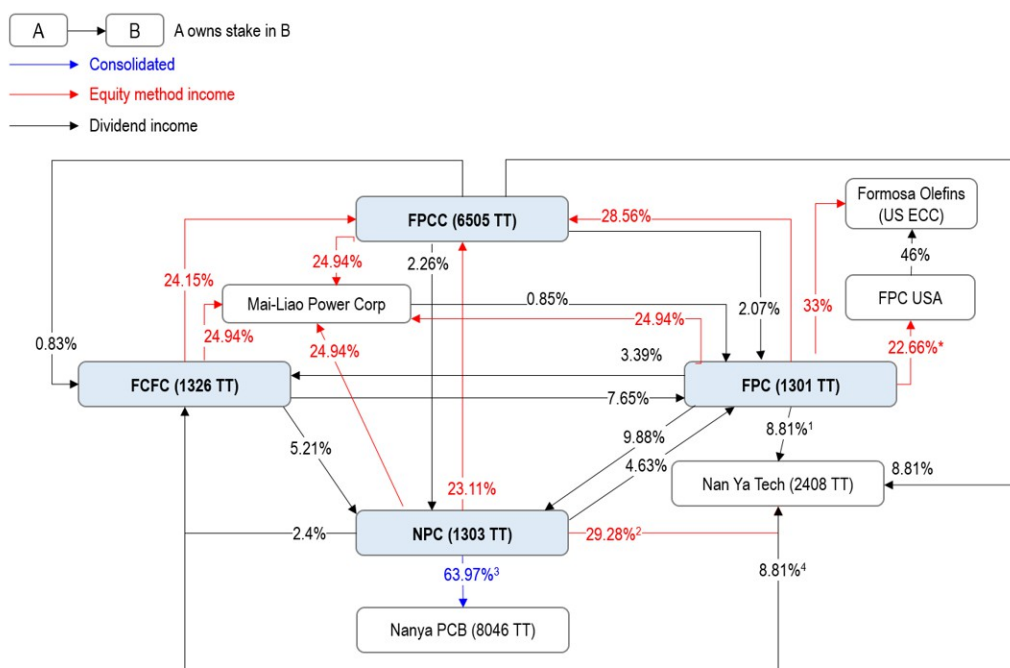
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. Priced as of 11 July 2026.

Figure 2: Formosa Group Key Spreads

Key commodities	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Spot
FPCC (6505 TT)															
Refining margin (\$/bbl)	14.6	4.4	10.9	8.7	10.1	4.4	5.6	7.4	5.8	7.3	8.2	8.6	20.1	39.6	19.5
NCC spread (\$/t)	416	449	301	389	434	433	445	411	434	399	394	308	342	544	375
Coal price (cny/t)	1,135	925	861	962	908	846	846	834	731	637	664	763	707	812	860
FPC (1301 TT)															
ACN spread (\$/t)	182	44	(1)	136	90	149	(24)	50	324	147	143	152	69	156	
PVC spread (\$/t)	456	385	448	344	332	377	386	354	299	327	318	324	322	350	350
HDPE-ethylene (\$/t)	145	150	187	117	88	150	137	123	94	146	116	150	112	125	300
PP-ethylene (\$/t)	67	96	118	111	108	122	98	114	100	187	194	125	73	114	320
PE-naphtha (\$/t)	345	372	318	306	308	339	357	372	351	378	358	331	245	385	472
Ethane price (cents/gal)	25	21	29	22	19	19	16	22	27	24	23	26	24	21	
FCFC (1326 TT)															
PX spread (\$/t)	336	427	423	363	344	354	282	193	203	226	253	254	307	268	377
PTA spread (\$/t)	92	119	87	85	78	88	85	71	80	83	75	64	58	85	100
ABS spread (\$/t)	222	336	299	219	172	222	278	338	269	383	347	345	214	407	463
Phenol spread (\$/t)	61	24	52	103	(58)	(89)	32	58	49	64	71	107	25	66	
NPC (1303 TT)															
MEG (\$/t)	5	0	4	(22)	9	23	59	63	48	63	55	46	(6)	(5)	80
BPA (\$/t)	401	464	468	332	369	397	334	360	369	409	325	310	413	632	
Electronics OPM	10%	3%	2%	4%	-3%	1.5%	2.4%	-1.2%	1.7%	4.0%	3.8%	7.6%	13.1%	20.1%	

Source: IHS, J.P. Morgan. *Note: Refining margin shows Singapore margin versus Dubai crude oil, and does not deduct the April Arab light OSP of \$20/bbl. It is already adjusted for VLCC rates.

Figure 3: Formosa Group ownership structure

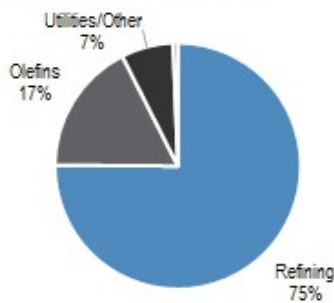


- 1: as of 6 Mar 2026 vs. 10.81% as of 30 Jun, 2025. FPC announced on the same day that it plans to dispose another 2% stake in NYT (61,792 shares) through 31 Dec 2026. Upon completion, FPC's stake in NYT will further decrease to 6.81%
- 2: as of 30 Sep, 2025. NPC announced on 11 Mar 2026 that its Board has approved the proposal to sell 1% NYT stake through 31 Dec 2026. Upon completion, NPC's stake will decrease to 28.28%
- 3: as of 15 May, 2026. NPC announced on 12 Mar 2026 that its Board has approved another proposal to sell 3% NYPCB stake through 31 Dec 2026. Upon completion, NPC's stake will decrease to 63.97%
- 4: as of 10 Mar 2025. FCFC announced on 10 Mar 2026 that its Board has approved the proposal to sell 1% NYT stake through 31 Dec 2026. Upon completion, NPC's stake will decrease to 7.81%

Source: Company data, J.P. Morgan. *: On 6 Mar, FPC announced sale of the 100% stake in its wholly owned subsidiary, Formosa Industries Corporation USA, to its associate, FPC USA, in exchange for 8,841 of FPC USA shares. Upon completion of the transaction, FPC will hold a 24.82% stake in FPC USA vs. the current 22.66%. The transaction is set to close in 3Q26.

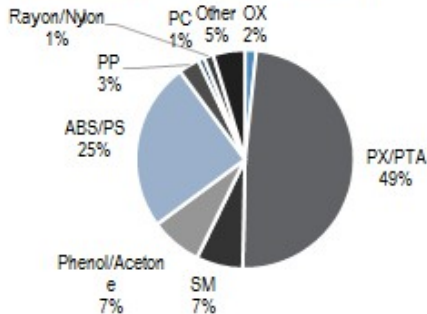
Figure 4: Formosa Group 2025 revenue mix

Formosa Petrochemical (6505 TT)



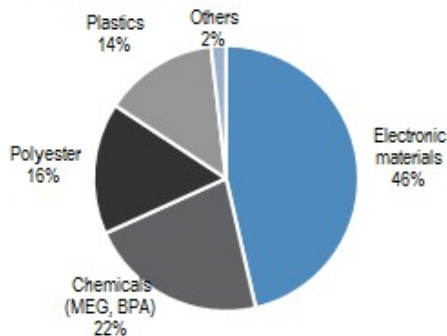
Source: Company data, J.P. Morgan Asia Energy Research

Formosa Chemicals & Fiber (1326 TT)



Source: Company data, J.P. Morgan Asia Energy Research

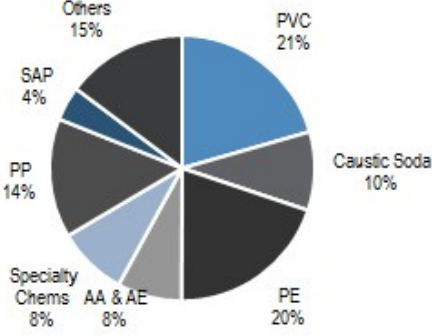
Nan Ya Plastics (1303 TT)



Source: Company data, J.P. Morgan Asia Energy Research

Source: Company data, J.P. Morgan.

Formosa Plastics (1301 TT)

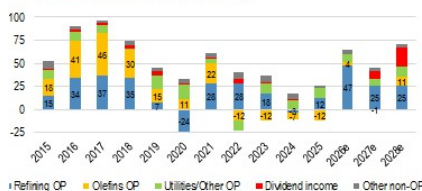


Source: Company data, J.P. Morgan Asia Energy Research

Figure 5: Formosa Group pre-tax profit by division

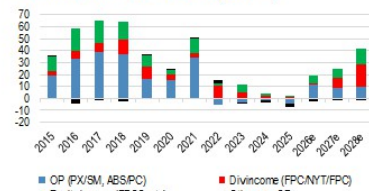
Taiwan Energy pretax profit split (Bn TWD)

Formosa Petrochemical (6505 TT)



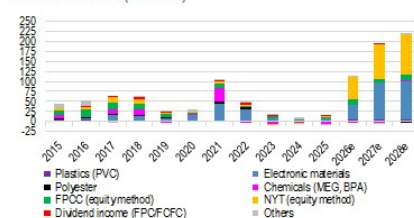
Source: Company data, J.P. Morgan Asia Energy Research

Formosa Chemicals & Fiber (1326 TT)



Source: Company data, J.P. Morgan Asia Energy Research

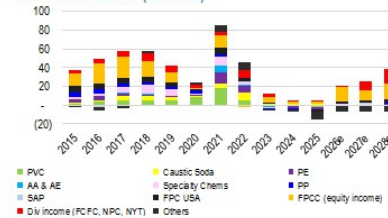
Nan Ya Plastics (1303 TT)



Source: Company data, J.P. Morgan Asia Energy Research

Source: Company data, J.P. Morgan estimates.

Formosa Plastics (1301 TT)



Source: Company data, J.P. Morgan Asia Energy Research

Figure 6: Formosa Group 2Q results summary: 1H26 represents 61-198% of BBG FY26 EPS

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	YTD as % of 2Q26 vs BBG			
							bbg FY	cons	Q/Q	Y/Y
FPC (6505 TT)										
Revenue	173.3	145.5	163.5	143.8	162.0	183.0	50%	8%	13%	26%
OP	3.7	-7.4	9.3	5.3	24.5	22.9	125%	164%	-7%	409%
OPM	2.2%	-5.1%	5.7%	3.7%	15.1%	12.5%				
Net Non-OP	1.1	-2.1	1.4	1.5	1.1	3.1				
Pre-tax	4.8	-9.5	10.7	6.7	25.6	26.0			1%	373%
Net Profit	3.7	-7.5	8.6	5.1	20.4	20.8	107%	364%	2%	377%
EPS	0.39	-0.79	0.90	0.54	2.14	2.18	103%	176%	2%	377%
FPC (1301 TT)										
Revenue	47.2	45.4	41.7	41.1	42.0	47.3	52%	4%	13%	4%
OP	-0.9	-1.6	-2.7	-2.4	-1.3	2.8	NA	10082%	315%	279%
OPM	-1.9%	-3.5%	-6.5%	-5.8%	-3.1%	5.9%				
Net Non-OP	1.0	-5.3	2.1	-0.5	4.7	8.0				
Pre-tax	0.1	-6.9	-0.6	-2.9	3.4	10.8			220%	257%
Net Profit	0.1	-6.6	-0.6	-2.9	3.3	10.6	174%	318%	224%	260%
EPS	0.01	-1.04	-0.09	-0.45	0.51	1.67	198%	120%	224%	260%
FCFC (1326 TT)										
Revenue	78.9	73.5	69.6	65.0	81.7	87.2	54%	11%	7%	19%
OP	-0.4	-2.5	-0.2	-0.2	3.8	2.6	95%	27%	-31%	205%
OPM	-0.6%	-3.4%	-0.3%	-0.3%	4.7%	3.0%				
Net Non-OP	0.0	-4.5	2.5	1.1	3.5	4.4				
Pre-tax	-0.4	-7.1	2.3	0.9	7.3	7.0			-4%	199%
Net Profit	-0.4	-6.8	1.8	1.11	6.2	6.1	104%	283%	-2%	189%
EPS	-0.08	-1.17	0.30	0.19	1.07	1.04	117%	155%	-2%	189%
NPC (1303 TT)										
Revenue	65.6	65.7	64.2	64.5	68.6	83.7	49%	5%	22%	27%
OP	0.0	1.3	1.0	1.3	3.7	11.4	57%	60%	205%	777%
OPM	0.1%	2.0%	1.6%	2.1%	5.5%	13.7%				
Net Non-OP	0.8	-5.5	3.0	4.5	12.3	19.3			91%	832%
Pre-tax	0.8	-4.2	4.0	5.8	16.1	30.7			88%	750%
Net Profit	0.5	-4.1	3.3	4.9	14.3	26.8	62%	61%	88%	750%
EPS	0.06	-0.52	0.41	0.62	1.80	3.37	61%	61%	88%	750%

Source: Company data, J.P. Morgan.

Related Research

[Nan Ya Plastics Corp: Blue Skies turn to reality, raise PT to NT\\$200; good progress on M9/M10 CCL and T-glass; AI-grade might form >50% of mix by 2028](#) (21 June 2026)

[Nan Ya Plastics Corp: >20% electronic materials revenue growth in 2Q26? Accumulate on dips](#) (8 June 2026)

[Nan Ya Plastics Corp: April revenue reached another 40+ month high. 2Q OPM expansion on track as price hike feeds through. Remain OW](#) (7 May 2026)

[Nan Ya Plastics Corp: 10-40% CCL price hikes across the industry into 2Q; positive management call takeaways](#) (20 April 2026)

[Asia Chemicals: China's Anti-Involution, Part 3: More policy measures crystallize, we upgrade Formosa Group to full house OW; 2026 the start of a 3-year earnings upcycle?](#) (24 February 2026)

[Nan Ya Plastics Corp: Share price +10% on another NYT record-high monthly revenue print; Next catalysts: M8 CCL and T-Glass entry in 2026?](#) (8 January 2026)

[Nan Ya Plastics Corp: Solid Nov revenue growth momentum illustrates fundamental electronic material S-D tightness](#) (8 December 2025)

[Electronic Materials Sector: First Take: Nan Ya Plastics and Nittobo announce specialty glass collaboration](#) (30 November 2025)

[Taiwan Energy: Turning more positive post a four-year de-rating; upgrade NPC to OW on improved electronic materials earnings outlook; remain OW FPCC](#) (21 September 2025)

Nan Ya Plastics Corp

Overweight

1303.TW, 1303 TT
Price (09 Jul 26):NT\$181.50

▲ **Price Target (Dec-27):NT\$300.00**
Prior (Dec-27):NT\$200.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	8.63	10.94	26.8%
Adj. EPS - 27E (NT\$)	13.41	17.75	32.4%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	29	68	73	58	54
Growth	28	94	83	89	91
Momentum	11	28	92	69	21
Quality	91	92	89	86	88
Low Vol	78	62	28	26	25
ESGQ	87	94	96	6	92

EM price hikes the main margin driver while M10 entry remains an upside optionality; PT goes to NT\$300 after 2Q beat

Nan Ya Plastics reported a 2Q26 NP of NT\$26.8bn (+88% q/q, +750% y/y), a beat vs JPMe of NT\$20.5bn and consensus of NT\$16.6bn. This was the highest quarterly NP in history. The electronic materials division likely delivered exceptional OP growth in 2Q26, with OPM potentially exceeding 20% for the first time since 2021. Management noted that utilizations across almost all of its electronic materials divisions in 2Q were close to full, and that it sees continued shortages across fiberglass cloth/yarn, copper foil, CCL and ABF substrates.

- **2Q26 results summary:** NPC reported 2Q consolidated OP of NT\$11.4bn (+205% q/q, +777% y/y), with OPM rising sharply to 13.7% (vs. 5.5% in 1Q26) – the highest since 2022. OP for all 4 segments increased q/q, but based on the company's comments we believe the margin improvement came mostly from electronic materials. Equity method income also increased 58% q/q, coming mostly from Nanya Tech, Mailliao Power and FPCC. This drove 88% q/q growth in NP/EPS to a historical record-high of NT\$3.37/share.
- **2Q Electronic Materials OPM likely rose to ~20%, paving the way for >30% OPM this upcycle:** The electronic materials division reported a significant q/q increase in 2Q26 OP, supported by good commercialization progress for AI/specialty PCB materials, price hikes in various commodity-grade materials and higher utilization rates. NPC noted an unprecedented supply tightness across key PCB materials, including glass fabric/yarn, copper foil, CCL and ABF substrates. Against this backdrop, the company leveraged its vertically integrated business structure to expand both internal and external sales for commodity grade-products, while gaining exposure to specialty/AI grades.
- **Chemicals OP turned positive for the first time in 3.5 years:** The chemicals division returned to profitability in 2Q26, reflecting a combination of raw material lag effect and the improvement in US MEG spreads due to supply disruptions in the Middle East. NPC operates 1.2Mtpa MEG capacity in the US, representing 39% of its total MEG capacity.
- **Polyester – back to black:** Polyester revenue grew q/q in 2Q26, reflecting the improvement in US PET orders amid a high demand season and reduction in imports. NPC noted that the plastics division is starting to turn profitable, supported by higher utilization rates and product mix improvement due to the expansion of polyester films for electronic applications.
- **Plastics OPM rose above 9.4%:** Plastics revenue increased q/q and OPM improved q/q in 2Q26, driven by improved orders for plastics building products. The division has provided a stable earnings contribution historically, helping to offset the cyclicity in NPC's other divisions. We note that the plastics division has delivered steady OPM improvement over the past six quarters
- **Earnings and PT change:** Post-2Q beat, we are raising our FY26/27/28E NP estimates for NPC by 27-32% to reflect higher electronic materials OPM and improved earnings contribution from NYT. We are raising our Dec-27 PT to the Street high of NT\$300/shr on a target P/B multiple of 5x (vs. 4x previously), reflecting a new record high ROE of close to 36% by 2028 (previous: 4x, 30% ROE). The implied FY26/27E P/E of 27x/17x remains attractive vs. the FY26-28E EPS CAGR of 33%. Reiterate OW.

Figure 7: NPC quarterly earnings

Unit: NT\$ in millions	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26e	4Q26e	2025	2026E	2027E	2028E	2026e	JPM
Revenue	65,552	65,716	64,177	64,467	68,596	83,650	86,195	97,579	259,608	259,912	366,141	489,540	570,192	75,407
Plastics (PVC products)	9,030	9,235	8,982	9,005	9,122	10,947	10,071	10,509	39,238	36,251	40,650	37,268	37,426	9,214
Electronic materials	28,033	29,877	29,911	32,797	36,222	44,000	49,825	56,380	108,365	120,618	186,427	309,102	386,615	43,000
Polyester	11,787	10,588	9,405	9,918	10,712	12,855	11,826	14,587	48,510	41,698	49,980	48,541	48,541	10,819
Chemicals (MEG, BPA, etc.)	15,631	14,763	14,728	11,544	11,162	13,953	12,837	14,467	58,363	56,665	52,419	89,950	92,931	11,274
Others	1,071	1,255	1,152	1,202	1,377	1,895	1,636	1,636	5,134	4,680	6,545	4,680	4,680	1,100
Operating Income	36	1,302	1,036	1,329	3,739	11,420	10,835	13,234	435	3,704	39,229	95,221	102,818	8,478
Plastics (PVC products)	697	733	757	799	855	1,095	1,007	754	3,097	2,985	3,711	3,839	3,855	864
Electronic materials	482	1,196	1,124	2,485	4,759	8,844	10,705	13,441	(30)	5,287	37,749	92,731	96,654	8,600
Polyester	(148)	103	(363)	(308)	(235)	26	(237)	(40)	(473)	(716)	(485)	(485)	(485)	(237)
Chemicals (MEG, BPA)	(1,477)	(827)	(1,076)	(2,024)	(1,792)	419	(642)	(667)	(3,549)	(5,403)	(2,681)	(1,799)	1,859	(902)
Others	482	97	594	377	151	1,037	2	(254)	1,390	1,551	936	936	936	153
OPM	0.1%	2.0%	1.6%	2.1%	5.5%	13.7%	12.6%	13.6%	0.2%	1.4%	10.7%	19.5%	18.0%	11.2%
Plastics (PVC products)	7.7%	7.9%	8.4%	8.9%	9.4%	10.0%	10.0%	7.2%	7.9%	8.2%	10.0%	10.3%	10.3%	9.4%
Electronic materials	1.7%	4.0%	3.8%	7.6%	13.1%	20%	21.5%	23.8%	0.0%	4.4%	20.2%	30%	25%	20.0%
Polyester	-1.3%	1.0%	-3.9%	-3.1%	-2.2%	0.2%	-2.0%	-0.3%	-1.7%	-1.0%	-1.0%	-1.0%	-1.0%	-2.2%
Chemicals (MEG, BPA)	-9.5%	-5.6%	-7.3%	-17.5%	-16.0%	3.0%	-5.0%	-4.6%	-6.1%	-9.5%	-3.0%	-2.0%	2.0%	-8.0%
Others	45.1%	7.7%	51.6%	31.4%	11.0%	54.7%	0.1%	-15.5%	27.1%	33.1%	20.0%	20.0%	20.0%	13.9%
Equity Income (23% FPCC, 29.5% NYT)	436	(2,972)	2,208	3,919	12,119	19,090	16,724	20,994	1,414	3,590	68,927	95,441	114,471	15,576
Other non-OP	342	(2,524)	756	591	222	190	100	(59)	2,675	(834)	453	570	1,220	(179)
Total Non-op Income	778	(5,496)	2,964	4,510	12,341	19,280	16,824	20,935	4,089	2,755	69,380	96,011	115,691	15,397
Pre-tax Income	814	(4,194)	4,000	5,839	16,080	30,790	27,559	34,169	4,523	6,459	108,606	191,232	218,598	23,875
Net Income	453	(4,116)	3,260	4,922	14,255	26,750	23,316	22,458	3,340	4,519	86,778	140,747	153,830	20,524
EPS	0.06	(0.62)	0.41	0.62	1.80	3.37	2.94	2.83	0.42	0.57	10.94	17.75	19.40	2.50
Consensus														
Sales	66,212	68,651	66,344	67,210	80,838	79,896	80,838	82,628	253,426	264,203	309,564	358,348	419,829	
OP	379	1,335	1,485	1,985	7,574	7,159	7,574	7,442	1,522	4,326	26,789	39,156	51,275	
NP	1,469	(1,321)	2,990	2,239	18,175	16,571	18,175	18,215	5,396	3,447	65,736	78,933	120,294	
EPS	0.15	(0.05)	0.35	0.43	2.29	2.09	2.29	2.30	0.80	0.41	8.43	8.94	15.17	

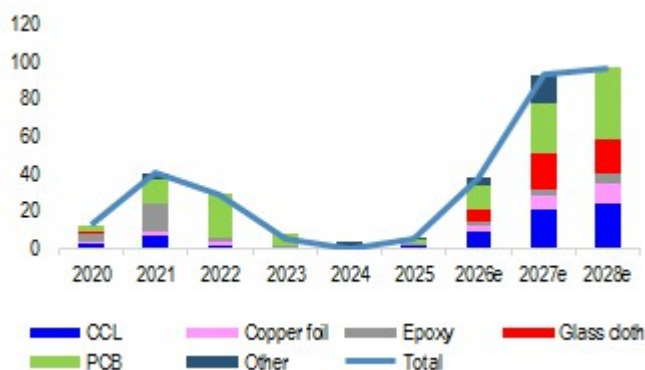
Source: Company data, J.P. Morgan estimates. Note: Blue font is the actual reported prelim number. The rest are JPM based on disclosed company commentary. Full audited results will be released in a few weeks.

Figure 8: NPC electronic materials OPM%



Source: Company data, J.P. Morgan estimates.

Figure 9: NPC electronic materials OP split (NT\$bn)



Source: Company data, J.P. Morgan estimates.

Figure 10: Electronic material price hike announcement YTD

Date	Company	Announced Pricing adjustment
CCL		
Jan 16th, 2026	Resonac	All CCL +30% for shipments from 1 Mar, 2026 onwards. Prev hike was 10% in Nov 2022 and 15% in Jan 2022
Mar 10th, 2026	Kingboard	+10% price hike across CCL/PP/copper foil processing fee
Mar 16th, 2026	NPC	+15% across CCL products
Apr 3rd, 2026	Kingboard	+10% price hike across CCL/PP products citing raw material price inflation
Apr, 2026	EMC	High-end CCL +10% from 2Q26
Apr, 2026	TUC	+20%-40% for selected CCL products
Apr 9th, 2026	Panasonic	CCL/prepeg/FRP/FPC materials price +15-30% from May 2026
Apr, 2026	ITEQ	High-end CCL +10%
Apr 28th, 2026	Kingboard	+10% price hike on FR4/PP products
May 27th, 2026	Kingboard	+10%/20% price hike on CCL/PP products
Jun 16th, 2026	Kingboard	+15% price hike on FR4/PP products
Jul 6th, 2026	Kingboard	+15% price hike on FR4/PP products (thickness >1.3mm)
Copper Foil		
Aug, 2025	Co-Tech	5-10% hike in processing fee for standard copper foil/HVLP4
Sep 29th, 2025	China Elec Mat. Industry Assoc.	"Recommendation" for an industry-wide increase in processing fees for electronic copper foil: +Rmb2/kg
Sep, 2025	NPC	Single-double digit % across conventional/high-end copper foil product
Oct, 2025	Mitsui Metal	+US\$2/kg (~15% increase) in high-end copper foil price
Mar, 2026	Kingboard	Processing fee +10%
Jul, 2026	Kingboard	Processing fee +Rmb5/kg for products <1.5oz; +Rmb8/kg for products >2oz

Source: Media reports, company announcements, J.P. Morgan. The above list is not exhaustive.

Price Performance



	YTD	1m	3m	12m
Abs	201.5%	83.0%	113.0%	561.2%
Rel	144.9%	81.5%	82.9%	459.9%

Company Data

Shares O/S (mn)	7,931
52-week range (NT\$)	200.00-26.25
Market cap (\$ mn)	44,719
Exchange rate	32.19
Free float (%)	65.3%
3M ADV (mn)	79.32
3M ADV (\$ mn)	268.9
Volatility (90 Day)	83
Index	TAIEX
BBG ANR (Buy Hold Sell)	6 2 1

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	259,912	366,141	489,540	570,192
Adj. EBITDA	26,221	62,361	119,020	127,199
Adj. EBIT	3,704	39,229	95,221	102,818
Adj. net income	4,519	86,778	140,771	153,847
Adj. EPS	0.57	10.94	17.75	19.40
BBG EPS	0.41	8.43	8.94	15.17
Cashflow from operations	8,649	79,979	138,120	179,570
FCFF	(754)	58,215	124,524	168,831
Margins and Growth				
Revenue Growth Y/Y (%)	0.1%	40.9%	33.7%	16.5%
EBITDA margin	10.1%	17.0%	24.3%	22.3%
EBITDA Growth Y/Y (%)	13.3%	137.8%	90.9%	6.9%
EBIT margin	1.4%	10.7%	19.5%	18.0%
Net margin	1.7%	23.7%	28.8%	27.0%
Adj. EPS growth	35.3%	1820.5%	62.2%	9.3%
Ratios				
Adj. tax rate	21.6%	15.0%	20.0%	20.0%
Interest cover	10.7	23.7	39.8	49.6
Net debt/Equity	0.3	0.3	0.2	0.1
Net debt/EBITDA	4.8	1.8	0.8	0.4
ROCE	0.6%	6.4%	14.4%	14.8%
ROE	1.3%	23.5%	35.2%	35.5%
Valuation				
FCFF yield	(0.1%)	4.0%	8.7%	11.7%
Dividend yield	0.4%	4.2%	7.3%	8.6%
EV/Revenue	6.1	4.3	3.2	2.7
EV/EBITDA	60.4	25.3	13.2	12.2
Adj. P/E	318.6	16.6	10.2	9.4

Summary Investment Thesis and Valuation

Investment Thesis

NPC is a major producer of electronic materials (CCL, copper foil, epoxy resin, glass fiber, PCB), polyester, chemicals (mainly MEG/BPA), and PVC plastics. We are OW on NPC on the back of emerging EPS positives from a multi-year PCB material supply tightness and its transition towards specialty grade electronic materials. While we estimate that >90% of NPC's electronic materials sales are commodity-grade with lower margins as of 2025, an improving product mix, utilisation uptick and price hikes on the back of tightening industry S&D in the coming years should drive OPM upside for the segment, in our view.

Valuation

Our Dec-27 PT of NT\$300 is based on a one-year forward P/B of 5x to reflect a new record-high ROE of close to 36% by 2028 (previously: 4x, 30% ROE). This is due to a structural improvement in electronic material margins caused by NPC's transition towards AI-grade electronic materials. We see NPC's ROE improving to >30% over the next two years. For comparison, NPC's historical 10-year average P/B and ROE are 1.6x and 9%, respectively.

Performance Drivers

Market	6%
Region	0%
Macro	17%
Style	3%
Idiosyn.	74%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.56	0.26
Region: Taiwan	0.15	-0.04
Macro:		
Citi Economic Surprise - EM	-0.17	-0.29
HSI Volatility Index	-0.43	-0.19
JPM EM Currency(EMCI) Fixing	0.33	0.17
Quant Styles:		
Quality	-0.26	-0.24
DivYld	-0.36	-0.13
LowVol	-0.33	-0.13

Investment Thesis, Valuation and Risks

Nan Ya Plastics Corp (Overweight; Price Target: NT\$300.00)

Investment Thesis

NPC is a major producer of electronic materials (CCL, copper foil, epoxy resin, glass fiber, PCB), polyester, chemicals (mainly MEG/BPA), and PVC plastics. We are OW on NPC on the back of emerging EPS positives from a multi-year PCB material supply tightness and its transition towards specialty grade electronic materials. While we estimate that >90% of NPC's electronic materials sales are commodity-grade with lower margins as of 2025, an improving product mix, utilisation uptick and price hikes on the back of tightening industry S&D in the coming years should drive OPM upside for the segment, in our view.

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Our Dec-27 PT of NT\$300 is based on a one-year forward P/B of 5x to reflect a new record-high ROE of close to 36% by 2028. This is due to a structural improvement in electronic material margins caused by NPC's transition towards AI-grade electronic materials. We see NPC's ROE improving to >30% over the next two years. For comparison, NPC's historical 10-year average P/B and ROE are 1.6x and 9%, respectively.

Risks to Rating and Price Target

Downside risks include weaker-than-expected MEG/BPA demand due to a weak macro or tariffs, a deceleration in global AI/datacenter capex, unsuccessful PCB/substrate price hikes/ next-gen electronic material qualification, and a loss of electronic materials market share.

Nan Ya Plastics Corp: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	259,608	259,912	366,141	489,540	570,192	Cash flow from operating activities	18,786	8,649	79,979	138,120	179,570
COGS	(241,034)	(238,313)	(302,950)	(363,793)	(432,489)	o/w Depreciation & amortization	22,032	21,933	22,807	23,389	23,855
Gross profit	18,574	21,599	63,190	125,747	137,703	o/w Changes in working capital	(4,244)	(6,222)	(31,061)	(36,802)	(18,917)
SG&A	(18,228)	(17,896)	(23,990)	(30,572)	(34,952)	Cash flow from investing activities	(17,900)	(11,332)	(24,000)	(15,990)	(12,792)
Adj. EBITDA	23,136	26,221	62,361	119,020	127,199	o/w Capital expenditure	(12,640)	(11,329)	(24,000)	(15,990)	(12,792)
D&A	(22,702)	(22,518)	(23,132)	(23,799)	(24,382)	as % of sales	4.9%	4.4%	6.6%	3.3%	2.2%
Adj. EBIT	435	3,704	39,229	95,221	102,818	Cash flow from financing activities	(20,112)	(16,751)	(81,326)	(114,004)	(131,106)
Net Interest	(2,063)	(2,456)	(2,631)	(2,993)	(2,566)	o/w Dividends paid	(5,615)	(5,562)	(60,745)	(105,578)	(123,078)
Adj. PBT	4,523	6,459	108,608	191,265	218,533	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(1,216)	(1,393)	(16,291)	(38,253)	(43,707)	o/w Net debt issued/(repaid)	(9,950)	(7,554)	(20,582)	(8,426)	(8,028)
Minority Interest	33	(547)	(5,539)	(12,241)	(20,979)	Net change in cash	(13,856)	(20,295)	(25,347)	8,125	35,672
Adj. Net Income	3,340	4,519	86,778	140,771	153,847	Adj. Free cash flow to firm	7,653	(754)	58,215	124,524	168,831
Reported EPS	0.42	0.57	10.94	17.75	19.40	y/y Growth	(40.4%)	(109.8%)	(7825.1%)	113.9%	35.6%
Adj. EPS	0.42	0.57	10.94	17.75	19.40						
DPS	0.70	0.80	7.66	13.31	15.52						
Payout ratio	166.2%	140.4%	70.0%	75.0%	80.0%						
Shares outstanding	7,931	7,931	7,931	7,931	7,931						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	66,445	46,150	20,803	28,928	64,600	Gross margin	7.2%	8.3%	17.3%	25.7%	24.2%
Accounts receivable	41,852	46,344	62,121	83,057	96,741	EBITDA margin	8.9%	10.1%	17.0%	24.3%	22.3%
Inventories	51,696	51,303	79,124	105,790	123,219	EBIT margin	0.2%	1.4%	10.7%	19.5%	18.0%
Other current assets	25,508	34,039	37,992	39,472	39,666	Net profit margin	1.3%	1.7%	23.7%	28.8%	27.0%
Current assets	185,502	177,836	200,040	257,248	324,227	ROE	0.9%	1.3%	23.5%	35.2%	35.5%
PP&E	219,151	208,547	209,741	202,341	191,278	ROA	0.5%	0.7%	13.9%	21.3%	21.6%
LT investments	170,623	184,104	184,104	184,104	184,104	ROCE	0.1%	0.6%	6.4%	14.4%	14.8%
Other non current assets	42,198	40,111	41,089	41,089	41,089	SG&A/Sales	7.0%	6.9%	6.6%	6.2%	6.1%
Total assets	617,473	610,598	634,974	684,782	740,699	Net debt/Equity	0.3	0.3	0.3	0.2	0.1
Short term borrowings	97,303	93,325	76,946	71,297	70,397	Net debt/EBITDA	4.2	4.8	1.8	0.8	0.4
Payables	43,368	41,245	53,781	64,583	76,778	Sales/Assets (x)	0.4	0.4	0.6	0.7	0.8
Other short term liabilities	0	130	0	(0)	0	Assets/Equity (x)	1.8	1.7	1.7	1.6	1.6
Current liabilities	140,671	134,700	130,728	135,880	147,175	Interest cover (x)	11.2	10.7	23.7	39.8	49.6
Long-term debt	83,336	79,759	75,556	72,779	65,651	Operating leverage	137700.7%	644032.2%	2346.9%	423.5%	48.4%
Other long term liabilities	30,864	24,341	24,341	24,341	24,341	Tax rate	26.9%	21.6%	15.0%	20.0%	20.0%
Total liabilities	254,870	238,800	230,624	232,999	237,167	Revenue y/y Growth	(0.1%)	0.1%	40.9%	33.7%	16.5%
Shareholders' equity	346,583	355,666	382,677	417,870	448,639	EBITDA y/y Growth	(8.9%)	13.3%	137.8%	90.9%	6.9%
Minority interests	16,020	16,133	21,672	33,913	54,892	EPS y/y Growth	(47.1%)	35.3%	1820.5%	62.2%	9.3%
Total liabilities & equity	617,473	610,598	634,974	684,782	740,699						
BVPS	43.70	44.85	48.25	52.69	56.57						
y/y Growth	(3.8%)	2.6%	7.6%	9.2%	7.4%						
Net debt/(cash)	97,939	126,934	113,725	97,174	53,474						
Valuation							FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	431.0	318.6	16.6	10.2	9.4
						P/BV (x)	4.2	4.0	3.8	3.4	3.2
						EV/EBITDA (x)	67.1	60.4	25.3	13.2	12.2
						Dividend Yield	0.4%	0.4%	4.2%	7.3%	8.6%

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

6505.TW, 6505 TT
Price (09 Jul 26):NT\$58.80

▲ **Price Target (Jun-27):NT\$70.00**
Prior (Jun-27):NT\$65.00

Head of Asia Energy & Chemicals | Asia EV Battery

Parsley Ong ^{AC}

(65) 6882-8578

parsley.rh.ong@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	3.60	5.86	62.6%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	34	39	66	61	70
Growth	75	91	80	25	23
Momentum	34	46	95	70	59
Quality	94	90	88	94	94
Low Vol	60	41	28	13	25

Formosa Petrochemical Corp

Normalized 3Q GRM well-expected; continued geopolitical uncertainty might introduce 2H margin upside

On 9 July, Russia announced a “full” diesel export ban restricting both exports of domestically produced and traded diesel products, in an expansion to the existing ban on traded product only. The new measure came as Russia refinery utilization hit a new low since the Ukraine war at 3.8mbd (-1,5 mbd y/y), sending the domestic diesel price surging by >80%. The expanded ban will be in force until 31 July as per the latest announcement, together with the gasoline export ban introduced on 1 April. Russia is the world’s second-largest diesel exporter (0.8mbd), and we estimate 0.4mbd of m/m diesel supply loss into July, representing 6% of 2025 global diesel exports. We expect these developments to introduce upside to FPCC’s 2H refining margin, given its 80% /50% export exposure to diesel/gasoline output. With a likely 3Q earnings normalization, we see the beat-and-raise on FPCC to continue through 2H with a JPMc FY26 NP of NT\$56bn, 46% above consensus. We are raising our Jun-27 PT to NT\$70/shr, and note an FY26/27E yield of 6.3%. We remain OW but note that FPCC is the lowest in our Formosa group pecking order for 2026.

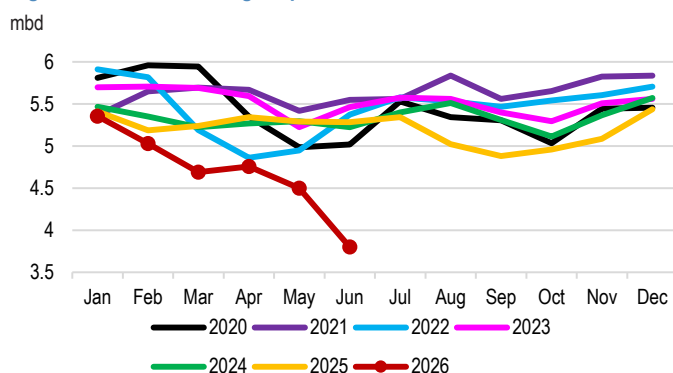
- **GRM tilt to upside risk into 2H? Russia refinery run hits lowest level since the start of the Ukraine war.** Russian refinery throughput dropped to 3.8mbd into Jun-26 (-0.7mbd m/m), as intensifying drone strikes from Ukraine in the past three months put >2mbd of refinery capacity under repeated repairs, hence impacting product yields. As we have noted, Russian refinery runs have dropped to a new post-war low since March against the backdrop of the Hormuz closure, accounting for 1.6mbd of run loss in 2026e. Together with Middle East run cut (>3mbd of disruption in Jun on Rystad’s estimates) and high uncertainty on the repairs timeline of damaged capacity, we see upside to our FY26E GRM forecast of \$25/bbl GRM, which has embedded only 1mbd/1.5mbd of Russia/Middle East run cuts.
- **Russia announced a full diesel export ban on 9 July:** The 1.5 mbd y/y loss in Russia refinery run has sent the domestic diesel price surging by >80% YTD, mirroring the move to expand the scope of the diesel export ban from non-producers only to all forms of exports on 9 July. Russia is the world’s second-largest exporter of diesel, supplying about 12% of global diesel exports (0.8 mbd). The latest move will incrementally worsen the already tight market, in our view, with another 0.4mbd supply loss vs. the June level. On 1 April, Russia had already announced a full export ban on gasoline until 31 July. We see these developments as positive for FPCC’s refining segment margin into 2H, as the company exports 80% of diesel and 50% of gasoline output.
- **Higher-for-longer GRM marks \$10/bbl a new through-cycle norm:** As shown in Figure 14, global refining utilization remains on track to reach a near two-decade high with or without geopolitical-driven disruptions due to the past few years of industry consolidation. On the back of higher utilization and geopolitical uncertainty, we forecast through-cycle GRM to edge to \$10/bbl over the next five years vs. the \$7/bbl in the past 20 years.
- **Olefin a slight drag into 3Q, partially offset by NYT div income:** We expect a sequential decline in FPCC’s 3Q earnings following the past two quarters of strong beats, with NP at NT\$3.7bn vs. 1Q-2Q >NT\$20bn – this should be mainly driven by normalization in refining margin post-Hormuz reopening and olefin turning back to losses on a weak product spread and an inventory headwind. Slightly positive offsetting factors include a sequential recovery in both refining and olefin utilization (FPCC lifted force majeure

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

on 9 June) along with NT\$0.6bn dividend income. The 3Q weakness should have been largely expected as the product margin normalizes since the US-Iran MoU on 18 June (Figure 15), with all eyes still on geopolitical developments.

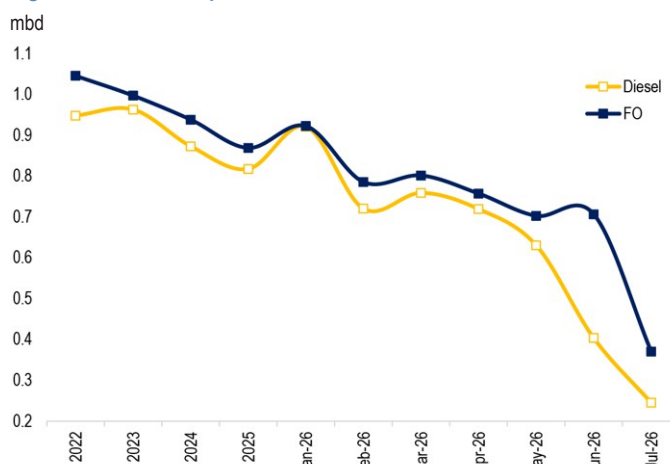
- **Earnings and PT changes:** Post-2Q beat, we are raising FY26 NP estimates for FPCC by ~60% to factor in a higher GRM/utilization assumption and Mailiao Power contribution (temporarily re-started due to the Middle East conflict) but trim FY27-28E OP as the olefin spread outlook remains challenging on >10mtpa of C2 capacity addition into 2H26. We are raising our Jun- PT to NT\$70/shr on an unchanged target P/B multiple of 2x, mirroring an FY26E/27E dividend of 6.3%.

Figure 11: Russia refining output



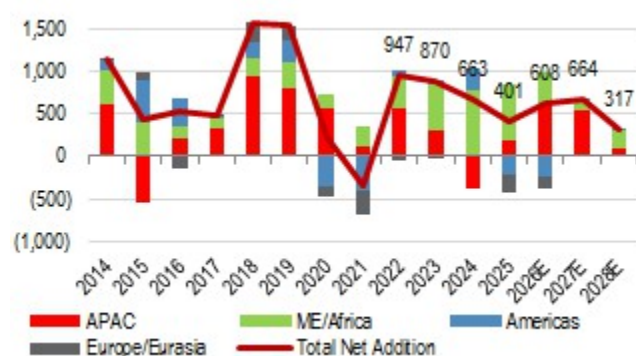
Source: OilX, Bloomberg Finance L.P., J.P. Morgan.

Figure 12: Russia exports of diesel and fuel oil



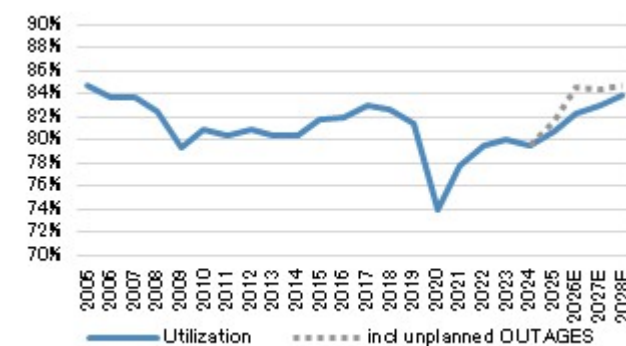
Source: Kpler, J.P. Morgan.

Figure 13: Global refining capacity additions



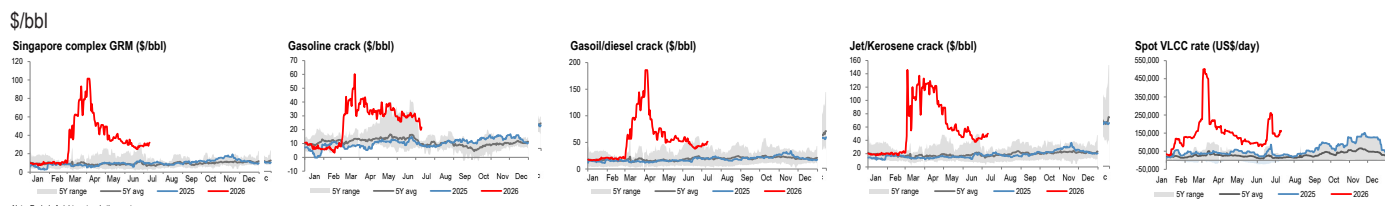
Source: ICIS, Wood Mackenzie, company data, J.P. Morgan.

Figure 14: Global refining utilization



Source: ICIS, Wood Mackenzie, company data, J.P. Morgan.

Figure 15: Asia GRM dashboard



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 16: FPCC quarterly earnings

NT\$m	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26e	4Q26e	2022	2023	2024	2025	2026e	2027e
Net Sales	173,267	145,547	163,529	143,815	161,989	182,983	216,886	216,886	848,048	712,576	663,823	626,159	815,728	751,160
Operating Income	3,733	(7,399)	9,284	5,261	24,511	22,881	3,261	8,544	5,420	15,405	(651)	10,879	59,198	32,817
Refining	2,100	(6,000)	7,884	8,461	21,967	18,620	3,000	3,628	28,420	17,543	(3,492)	12,445	47,214	25,126
Olefins	(800)	(4,899)	(2,500)	(4,200)	1,000	2,000	(2,000)	2,655	(12,000)	(12,247)	(7,200)	(12,399)	3,655	(591)
Utilities/other	2,433	3,500	3,900	1,000	1,545	2,261	2,261	2,261	(11,000)	10,108	10,040	10,833	8,328	8,282
Operating margin	2.2%	-5.1%	5.7%	3.7%	15.1%	12.5%	1.5%	3.9%	0.6%	2.2%	-0.1%	1.7%	7.3%	4.4%
Non-operating Income	1,086	(2,126)	1,420	1,453	1,105	3,088	1,078	554	11,548	9,289	7,219	1,833	5,705	11,651
Div income (NYT-3Q, FPC/FCFC-2Q)		13	395	(0)		120	978		4,171	2,067	511	408	978	7,759
FX	820	(3,600)	840	2,590	940	370			5,153	1,284	3,084	650	1,310	2,000
Other gain/loss	266	1,462	185	(1,137)	165	2,598	100	554	2,225	5,938	3,623	776	3,417	1,892
Pre-tax Income	4,819	(9,525)	10,704	6,714	25,616	25,969	4,339	9,099	16,968	24,694	6,567	12,712	64,903	44,468
Net Income	3,685	(7,505)	8,584	5,111	20,408	20,778	3,732	9,466	14,422	21,889	5,971	9,875	55,819	38,244
EPS	0.39	(0.79)	0.90	0.54	2.14	2.18	0.39	0.99	1.51	2.30	0.63	1.04	5.86	4.01
Shares outstanding (mn)	9,526	9,526	9,526	9,526	9,526	9,526	9,526	9,526	9,526	9,526	9,526	9,526	9,526	9,526
ROE%									4%	7%	2%	3%	15%	10%
Commodity trends														
Reported FPCC GRM (\$/bbl)	7.7	9.9	9.6	15.0	20.0				15.9	11.1	9.1	10.6	16.6	
Ethylene spread (\$/ton)	183	188	206	155	124	243	111							
Propylene spread	175	191	166	159	152	296	211							
BD spread	719	514	469	313	741	886	401							
Refinery utilization [540kbd]	85%	78%	90%	78%	81%	66%			79%	82%	75%	83%	84%	
Olefins utilization	58%	59%	62%	59%	53%	33%			74%	61%	53%	60%	55%	
Consensus														
Sales	173,267	145,547	163,529	153,045	149,297	170,142	184,587	179,840	846,227	733,602	691,383	635,389	687,821	683,578
OP	3,733	(7,399)	9,284	7,525	5,842	8,655	4,703	6,057	25,397	19,687	11,822	13,142	38,064	28,756
NP	3,685	(7,505)	8,584	7,747	5,372	7,533	4,771	5,409	29,817	22,764	13,716	12,511	38,348	29,583

Source: Company data, J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	23.0%	12.2%	11.6%	60.9%
Rel	-33.6%	10.8%	-18.5%	-40.5%

Company Data

Shares O/S (mn)	9,526
52-week range (NT\$)	68.20-34.90
Market cap (\$ mn)	17,401
Exchange rate	32.19
Free float (%)	12.4%
3M ADV (mn)	11.15
3M ADV (\$ mn)	18.8
Volatility (90 Day)	52
Index	TAIEX
BBG ANR (Buy Hold Sell)	6 1 1

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	626,159	815,728	751,160	731,719
Adj. EBITDA	24,042	72,091	45,240	58,347
Adj. EBIT	10,879	59,198	32,817	46,337
Adj. net income	9,875	55,819	38,233	60,609
Adj. EPS	1.04	5.86	4.01	6.36
BBG EPS	1.21	4.19	2.88	5.45
Cashflow from operations	44,867	32,511	52,465	57,187
FCFF	38,009	20,265	34,990	49,676
Margins and Growth				
Revenue Growth Y/Y (%)	(5.7%)	30.3%	(7.9%)	(2.6%)
EBITDA margin	3.8%	8.8%	6.0%	8.0%
EBITDA Growth Y/Y (%)	95.2%	199.9%	(37.2%)	29.0%
EBIT margin	1.7%	7.3%	4.4%	6.3%
Net margin	1.6%	6.8%	5.1%	8.3%
Adj. EPS growth	65.4%	465.2%	(31.5%)	58.5%
Ratios				
Adj. tax rate	22.3%	14.0%	14.0%	14.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	2.8%	15.6%	8.1%	11.7%
ROE	3.0%	14.8%	9.7%	15.6%
Valuation				
FCFF yield	6.8%	3.6%	6.2%	8.9%
Dividend yield	2.0%	7.5%	7.5%	8.1%
EV/Revenue	0.7	0.5	0.6	0.6
EV/EBITDA	19.1	6.1	9.7	7.2
Adj. P/E	56.7	10.0	14.7	9.2

Summary Investment Thesis and Valuation

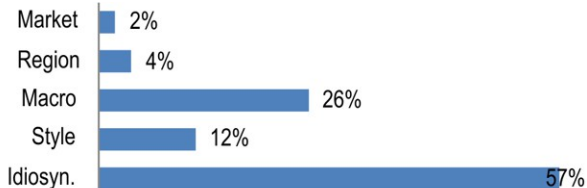
Investment Thesis

FPCC is the only listed refinery in Taiwan, and it also operates a naphtha cracker and coal-fired powergen plant which supplies the rest of the Formosa group companies with intermediate feedstocks and electricity. FPCC is one of the largest single-site ethylene producers in Asia, with 2.9mn tonnes annual capacity. It has no PX exposure. It is a constituent stock in the TWSE index, but with a free float of only 10-15% due to the various Formosa companies' shareholdings. We forecast 2026 Asia GRMs to rise by \$5/bbl y/y and remain mid-LT positive on refining due to limited net capacity additions. We expect the company's chemical losses to gradually narrow in the coming years as more capacities shut down due to China's anti-involution measures and the voluntary exit of obsolete capacities.

Valuation

Our Jun-2027 PT of NT\$70 is based on 2x P/B, which is 1SD below the historical 10-year average of 2.6x P/B and reflects a 2027E ROE of >10% (historical 10Y avg ROE 12%).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: Taiwan	-0.15	-0.20
Macro:		
JPM China A-shares Sentiment	-0.47	-0.28
Markit EM Composite PMI SA	0.36	0.26
US 10 Year Yield	-0.16	-0.17
Quant Styles:		
Momentum	0.42	0.15
Growth	0.12	-0.11
Size	0.27	0.10

Investment Thesis, Valuation and Risks

Formosa Petrochemical Corp (*Overweight; Price Target: NT\$70.00*)

Investment Thesis

FPCC is the only listed refinery in Taiwan, and it also operates a naphtha cracker and coal-fired powergen plant which supplies the rest of the Formosa group companies with intermediate feedstocks and electricity. FPCC is one of the largest single-site ethylene producers in Asia, with 2.9mn tonnes annual capacity. It has no PX exposure. It is a constituent stock in the TWSE index, but with a free float of only 10-15% due to the various Formosa companies' shareholdings. We forecast 2026 Asia GRMs to rise by \$5/bbl y/y and remain mid-LT positive on refining due to limited net capacity additions. We expect the company's chemical losses to gradually narrow in the coming years as more capacities shut down due to China's anti-involution measures and the voluntary exit of obsolete capacities.

Valuation

Our Jun-2027 PT of NT\$70 is based on 2x P/B, which is 1SD below the historical 10-year average of 2.6x P/B and reflects a 2027E ROE of >10% (historical 10-year average ROE of 12%).

Risks to Rating and Price Target

Downside risks include: (1) a sharp increase in logistics and freight costs; (2) unplanned outages; and (3) a sharp decline in oil prices, which might result in inventory losses.

Formosa Petrochemical Corp: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	663,823	626,159	815,728	751,160	731,719	Cash flow from operating activities	11,909	44,867	32,511	52,465	57,187
COGS	(653,509)	(604,091)	(741,953)	(704,920)	(672,307)	o/w Depreciation & amortization	12,967	13,163	12,893	12,423	12,010
Gross profit	10,314	22,068	73,775	46,240	59,413	o/w Changes in working capital	(6,523)	17,304	(36,249)	8,427	4,642
SG&A	(10,616)	(10,839)	(14,120)	(13,002)	(12,666)	Cash flow from investing activities	(11,433)	3,102	(1,898)	(6,898)	3,102
Adj. EBITDA	12,316	24,042	72,091	45,240	58,347	o/w Capital expenditure	(9,484)	(6,488)	(11,488)	(16,488)	(6,488)
D&A	(12,967)	(13,163)	(12,893)	(12,423)	(12,010)	as % of sales	1.4%	1.0%	1.4%	2.2%	0.9%
Adj. EBIT	(651)	10,879	59,198	32,817	46,337	Cash flow from financing activities	(15,674)	(23,306)	1,997	(45,764)	(42,914)
Net Interest	422	476	881	1,147	1,190	o/w Dividends paid	(19,052)	(7,619)	(11,431)	(41,864)	(41,864)
Adj. PBT	6,567	12,712	64,903	44,454	70,472	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(756)	(2,837)	(9,086)	(6,224)	(9,866)	o/w Net debt issued/(repaid)	4,448	(14,846)	-	-	-
Minority Interest	160	1	3	2	3	Net change in cash	(14,919)	24,536	32,610	(197)	17,375
Adj. Net Income	5,971	9,875	55,819	38,233	60,609	Adj. Free cash flow to firm	2,052	38,009	20,265	34,990	49,676
Reported EPS	0.63	1.04	5.86	4.01	6.36	y/y Growth	(94.9%)	1752.3%	(46.7%)	72.7%	42.0%
Adj. EPS	0.63	1.04	5.86	4.01	6.36						
DPS	0.80	1.20	4.39	4.39	4.77						
Payout ratio	127.6%	115.8%	75.0%	109.5%	75.0%						
Shares outstanding	9,526	9,526	9,526	9,526	9,526						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	22,988	47,524	80,134	79,937	97,312	Gross margin	1.6%	3.5%	9.0%	6.2%	8.1%
Accounts receivable	48,406	44,591	60,576	55,781	54,338	EBITDA margin	1.9%	3.8%	8.8%	6.0%	8.0%
Inventories	77,546	65,291	87,717	83,339	79,483	EBIT margin	(0.1%)	1.7%	7.3%	4.4%	6.3%
Other current assets	58,374	99,641	99,641	99,641	99,641	Net profit margin	0.9%	1.6%	6.8%	5.1%	8.3%
Current assets	207,314	257,047	328,069	318,699	330,774	ROE	1.9%	3.0%	14.8%	9.7%	15.6%
PP&E	93,691	91,430	87,501	84,042	80,996	ROA	1.5%	2.5%	12.5%	8.2%	13.2%
LT investments	36,845	35,339	31,805	28,624	25,762	ROCE	(0.2%)	2.8%	15.6%	8.1%	11.7%
Other non current assets	33,349	32,645	29,706	27,060	24,679	SG&A/Sales	1.6%	1.7%	1.7%	1.7%	1.7%
Total assets	371,200	416,461	477,081	458,425	462,211	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	18,150	9,894	27,947	25,097	26,147	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	11,561	12,794	14,956	14,210	13,552	Sales/Assets (x)	1.7	1.6	1.8	1.6	1.6
Other short term liabilities	19,001	19,021	19,021	19,021	19,021	Assets/Equity (x)	1.2	1.2	1.2	1.2	1.2
Current liabilities	48,712	41,709	61,924	58,328	58,720	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	15,415	8,825	4,200	3,150	1,050	Operating leverage	1523.4%	31196.0%	1467.1%	563.0%	(1591.9%)
Other long term liabilities	4,826	4,683	4,683	4,683	4,683	Tax rate	11.5%	22.3%	14.0%	14.0%	14.0%
Total liabilities	68,953	55,216	70,807	66,161	64,453	Revenue y/y Growth	(6.8%)	(5.7%)	30.3%	(7.9%)	(2.6%)
Shareholders' equity	296,961	355,792	400,818	386,807	392,298	EBITDA y/y Growth	(60.9%)	95.2%	199.9%	(37.2%)	29.0%
Minority interests	5,286	5,453	5,456	5,458	5,460	EPS y/y Growth	(72.7%)	65.4%	465.2%	(31.5%)	58.5%
Total liabilities & equity	371,200	416,461	477,081	458,425	462,211	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
BVPS	31.17	37.35	42.08	40.61	41.18	P/E (x)	93.8	56.7	10.0	14.7	9.2
y/y Growth	(11.7%)	19.8%	12.7%	(3.5%)	1.4%	P/BV (x)	1.9	1.6	1.4	1.4	1.4
Net debt/(cash)	(17,648)	(105,208)	(124,390)	(128,093)	(146,517)	EV/EBITDA (x)	44.5	19.1	6.1	9.7	7.2
						Dividend Yield	1.4%	2.0%	7.5%	7.5%	8.1%

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

1301.TW, 1301 TT
Price (09 Jul 26):NT\$54.80

▲ **Price Target (Jun-27):NT\$65.00**
Prior (Jun-27):NT\$60.00

Head of Asia Energy & Chemicals | Asia EV Battery

Parsley Ong ^{AC}

(65) 6882-8578

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	0.88	1.75	99.2%
Adj. EPS - 27E (NT\$)	1.91	2.25	17.5%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	83	79	93	55	52
Growth	99	100	63	87	66
Momentum	82	98	93	74	48
Quality	97	96	90	79	83
Low Vol	53	42	31	15	22
ESGQ	92	99	98	86	13

Formosa Plastics Corp

Looking beyond 3Q weakness; 2026 earnings contribution from US ECC to improve in a \$70-80/bbl environment

- Integrated US PVC production to remain competitive in a \$70-\$80/bbl environment.** FPC operates a 1.2mtpa ethane cracker in the US under its associate, Formosa Olefins (33% stake, hereafter OL3), which supplies ethylene feedstock for the PVC production at FPC's downstream-focused US associate, FPC USA. FPC USA also holds a 46% stake in OL3. Since the escalation of the Middle East conflict, Asia ECC margins expanded 5x in Apr vs. Feb due to a naphtha price >40% surge vs. US ethane largely steady (Figure 18). Against this backdrop, FPC saw the equity method income contribution from OL3 surging to NT\$1.1bn in 2Q vs. 1Q NT\$0.2bn while FPC USA turned from a minor loss to >NT\$8bn in profit (Figure 19). While a re-treating oil price has reversed some of the pricing gains into June with the North America PVC contract price -7% m/m, the pricing level remains ~10% above the pre-conflict level. We expect FPC's integrated PVC production structure to remain competitive in a \$70-80/bbl environment. As our North America Chemicals analyst Jeff Zekauskas wrote, "A general rule is that for each \$10/bbl change in oil, an integrated margin for North American companies changes by 4-5 cents per pound."
- US operation restructuring to boost efficiency.** On 6 March, FPC disclosed that its Board of Directors has approved to sell its entire stake in its wholly-owned subsidiary, Formosa Industries Corp USA (FIC), to FPC USA (FPC owns 22.6%) in exchange for a stake increase in the latter. FIC is the entity currently holding FPC's 33% direct stake in OL3 while FPC USA owns 46% of the US ECC. Upon transaction completion, FPC USA will hold 79% of the upstream ECC, while FPC's stake in FPC USA will increase to 24.82%. The restructuring was motivated by better feedstock supply coordination for FPC USA's 30ktpa C6 PE capacity, as FIC commenced its new 100ktpa C6 capacity in May 2026. We note that FPC will no longer hold a direct stake in FPC olefin thereafter, with earnings contribution via equity method income fully integrated with that from FPC USA. Management has [guided](#) to a NT\$1bn of one-off gain from the FIC stake sale, set to be recognized in 3Q.
- 3Q OP weighed by faded inventory cost effect.** Management has guided to a weaker q/q revenue as product prices normalize. FPC booked the highest OP since 3Q22 in 2Q, though we expect majority of the gains to fade into 3Q given the one-off nature of the raw material lagging effect. The company is also set to conduct a capacity turnaround during the quarter (Mailiao PVC/VCM/CA/LLDPE, Ningbo PVC/AE/SAP, and US PE #3). Despite the slight increase in maintenance, the company guided to a recovery in overall utilization as feedstock supply gradually normalizes. While we forecast core OP to tilt back to the red in 3Q, spreads remain well above the pre-conflict levels seen in 2H25/1Q26 and we continue to forecast a gradual multi-year recovery in chemicals. Meanwhile, one-off gains from the FIC stake sale and NT\$1.1bn of dividend income (NYT) should provide a boost in 3Q.
- Earnings and PT changes:** Post-2Q beat, we are raising our FY26-27 NP estimates to factor in higher equity method income contribution from FPCC and FPC USA and dividend income from NYT, while the core operating trend remains lackluster as the positive feedstock cost effect fades. We are raising our Jun- PT to NT\$65/shr on an unchanged target P/B multiple of 1.3x.

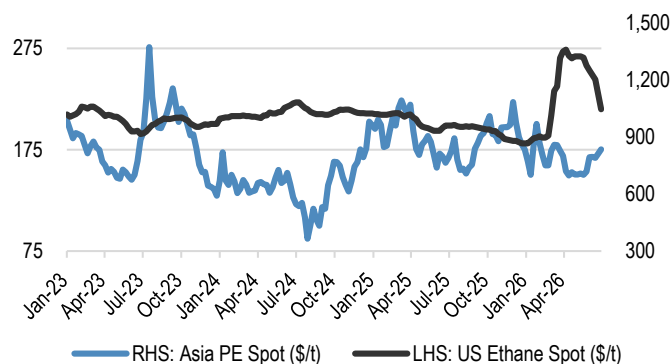
Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Figure 17: FPC quarterly earnings

(NT\$m)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26e	4Q26e	2025	2026e	2027e	2028e
Revenue	47,202	45,387	41,718	41,104	41,985	47,254	46,997	46,997	175,411	172,975	184,316	189,813
Operating Income	(895)	(1,566)	(2,694)	(2,364)	(1,305)	2,800	(207)	752	(7,518)	(540)	(44)	753
OPM	-1.9%	-3.5%	-6.5%	-5.8%	-3.1%	5.9%	-0.4%	1.6%	-4.3%	-0.3%	0.0%	0.4%
Dividend income		166	815	1	-	230	1,155		981	1,155	9,435	15,169
Equity Income	1,540	(2,747)	1,782	(169)	5,046	8,350	174	1,811	406	15,946	11,148	18,004
FPCC (28.56%)	1,030	(2,110)	2,430	1,470	5,698	5,910	1,066	2,703	2,820	15,942	10,892	17,313
FPC USA (24.8%)	761	(357)	(267)	(1,175)	92	2,990	(1,052)	(1,052)	(1,850)	977	1,581	2,016
Other	(251)	(281)	(381)	(464)	(744)	(550)	160	160	(565)	(974)	(1,325)	(1,325)
Interest/Other	(534)	(2,724)	(473)	(352)	(362)	(934)	(934)	(934)	(4,084)	(3,163)	(3,296)	(3,423)
Total Non-OP	1,006	(5,305)	2,123	(520)	4,684	8,000	395	878	(2,697)	13,938	17,287	29,750
Pre-tax Income	111	(6,871)	(571)	(2,884)	3,379	10,800	188	1,630	(10,215)	13,397	17,242	30,503
Tax Expense	(61)	245	(31)	13	(110)	(200)	(32)	(1,936)	166	(2,278)	(2,931)	(5,186)
Net Income	50	(6,626)	(602)	(2,871)	3,269	10,600	156	(306)	(10,049)	11,120	14,311	25,318
EPS	0.01	(1.04)	(0.09)	(0.45)	0.51	1.67	0.02	(0.05)	(1.58)	1.75	2.25	3.98
% y/y												
Sales	-2%	-11%	-17%	-18%	-11%	4%	13%	14%	-12%	-1%	7%	3%
OP	38%	-1023%	-79%	-71%	-46%	279%	92%	132%	-81%	93%	92%	1793%
NP	-77%	-586%	81%	-1143%	6379%	260%	126%	89%	-716%	211%	29%	77%

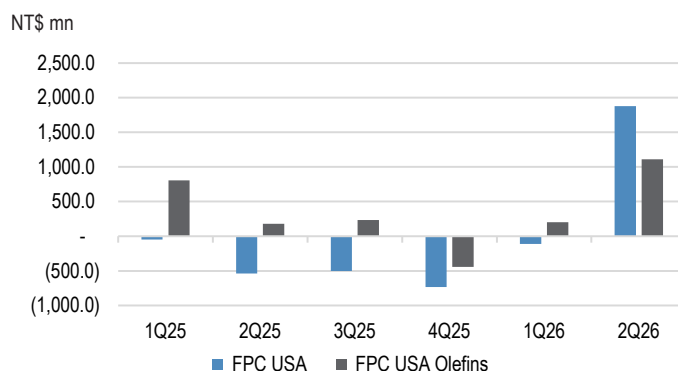
Source: Company data, J.P. Morgan estimates.

Figure 18: Asia PE vs. US ethane spot



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 19: FPC- equity method income contribution from FPC USA and FPC USA Olefin



Source: Company data, J.P. Morgan.

Price Performance



	YTD	1m	3m	12m
Abs	40.5%	20.3%	15.6%	60.2%
Rel	-16.1%	18.9%	-14.5%	-41.1%

Company Data

Shares O/S (mn)	6,366
52-week range (NT\$)	64.00-33.40
Market cap (\$ mn)	10,837
Exchange rate	32.19
Free float (%)	73.4%
3M ADV (mn)	41.05
3M ADV (\$ mn)	66.9
Volatility (90 Day)	58
Index	TAIEX
BBG ANR (Buy Hold Sell)	5 3 1

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	175,411	172,975	184,316	189,813
Adj. EBITDA	3,057	10,236	10,934	11,933
Adj. EBIT	(7,518)	(540)	(44)	753
Adj. net income	(10,049)	11,120	14,311	25,318
Adj. EPS	(1.58)	1.75	2.25	3.98
BBG EPS	(0.62)	1.10	1.44	2.89
Cashflow from operations	6,619	3,400	4,741	11,787
FCFF	(5,122)	(1,030)	4,420	11,573
Margins and Growth				
Revenue Growth Y/Y (%)	(12.3%)	(1.4%)	6.6%	3.0%
EBITDA margin	1.7%	5.9%	5.9%	6.3%
EBITDA Growth Y/Y (%)	(36.8%)	234.9%	6.8%	9.1%
EBIT margin	(4.3%)	(0.3%)	(0.0%)	0.4%
Net margin	(5.7%)	6.4%	7.8%	13.3%
Adj. EPS growth	715.8%	(210.7%)	28.7%	76.9%
Ratios				
Adj. tax rate	(1.6%)	17.0%	17.0%	17.0%
Interest cover	1.1	3.3	3.4	3.6
Net debt/Equity	0.0	0.1	0.1	0.1
Net debt/EBITDA	3.9	1.8	2.3	2.2
ROCE	(1.7%)	(0.1%)	(0.0%)	0.1%
ROE	(3.1%)	3.0%	3.9%	7.0%
Valuation				
FCFF yield	(1.5%)	(0.3%)	1.3%	3.3%
Dividend yield	0.9%	2.2%	2.9%	5.1%
EV/Revenue	2.1	2.1	2.0	2.0
EV/EBITDA	118.0	35.9	34.2	31.4
Adj. P/E	NM	31.4	24.4	13.8

Summary Investment Thesis and Valuation

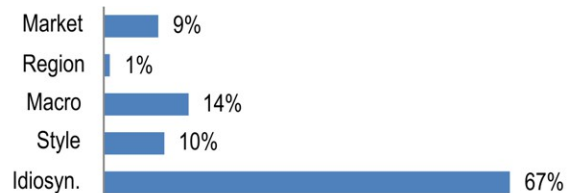
Investment Thesis

We are OW on FPC as the company is set to benefit from the uplift in both dividends (NYT, NPC) and equity method (FPCC) income from Formosa Group companies. We forecast NP recovering from a NT\$10bn loss in 2025, to >NT\$10bn profit by 2027, coming from an improvement in earnings contribution from its US PVC/ECC operations, and gradual supply-demand rebalancing as some Asian chemical capacities shut down due to government-driven anti-involution measures, or voluntary portfolio optimization.

Valuation

Our Jun-27 PT of NT\$65 is based on a P/B of 1.3x (15yr avg), reflecting a gradual recovery in 2028E ROE to >7%, vs. a loss in FY24-25. For comparison, FPC's 10-year average P/B and ROE are 1.3x and 8.3%, respectively.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.43	0.30
Region: Taiwan	-0.08	-0.12
Macro:		
Emerging Central Bank Rate	0.19	0.24
US 10 Year Yield	-0.30	-0.21
Citi Economic Surprise - EM	-0.04	-0.21
Quant Styles:		
Quality	-0.14	-0.19
Growth	-0.01	-0.09
Momentum	0.23	0.07

Investment Thesis, Valuation and Risks

Formosa Plastics Corp (*Overweight; Price Target: NT\$65.00*)

Investment Thesis

We are OW on FPC as the company is set to benefit from the uplift in both dividends (NYT, NPC) and equity method (FPCC) income from Formosa Group companies. We forecast NP recovering from a NT\$10bn loss in 2025, to >NT\$10bn profit by 2027, coming from an improvement in earnings contribution from its US PVC/ECC operations, and gradual supply-demand rebalancing as some Asian chemical capacities shut down due to government-driven anti-involution measures, or voluntary portfolio optimization.

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Our Jun-27 PT of NT\$65 is based on a P/B of 1.3x (15yr avg), reflecting a gradual recovery in 2028E ROE to >7%, vs. a loss in FY24-25. For comparison, FPC's 10-year average P/B and ROE are 1.3x and 8.3%, respectively.

Risks to Rating and Price Target

Downside risks include weaker-than-expected PE/PVC demand due to China/global construction/consumption, and lower-than-expected contributions from FPCC and FPC USA due to higher feedstock costs or operational issues.

Formosa Plastics Corp: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	200,040	175,411	172,975	184,316	189,813	Cash flow from operating activities	11,461	6,619	3,400	4,741	11,787
COGS	(190,038)	(169,808)	(160,577)	(170,573)	(174,861)	o/w Depreciation & amortization	8,996	10,575	10,777	10,978	11,180
Gross profit	10,003	5,603	12,399	13,743	14,952	o/w Changes in working capital	(16,892)	3,748	(1,956)	(568)	(291)
SG&A	(12,516)	(11,559)	(11,399)	(12,146)	(12,508)	Cash flow from investing activities	(17,810)	(6,096)	(7,000)	(3,000)	(3,000)
Adj. EBITDA	4,834	3,057	10,236	10,934	11,933	o/w Capital expenditure	(16,185)	(14,548)	(7,000)	(3,000)	(3,000)
D&A	(8,996)	(10,575)	(10,777)	(10,978)	(11,180)	as % of sales	8.1%	8.3%	4.0%	1.6%	1.6%
Adj. EBIT	(4,162)	(7,518)	(540)	(44)	753	Cash flow from financing activities	17,582	(8,861)	1,817	(2,131)	(5,018)
Net Interest	(2,471)	(2,853)	(3,096)	(3,229)	(3,356)	o/w Dividends paid	(6,366)	(3,156)	(3,183)	(7,784)	(10,018)
Adj. PBT	(2,414)	(10,215)	13,397	17,242	30,503	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	1,182	166	(2,278)	(2,931)	(5,186)	o/w Net debt issued/(repaid)	25,135	(9,946)	5,000	5,653	5,000
Minority Interest	0	0	0	0	0	Net change in cash	12,053	(7,568)	(1,783)	(391)	3,770
Adj. Net Income	(1,232)	(10,049)	11,120	14,311	25,318	Adj. Free cash flow to firm	(3,463)	(5,122)	(1,030)	4,420	11,573
Reported EPS	(0.19)	(1.58)	1.75	2.25	3.98	y/y Growth	(31.1%)	47.9%	(79.9%)	(529.0%)	161.8%
Adj. EPS	(0.19)	(1.58)	1.75	2.25	3.98						
DPS	0.50	0.50	1.22	1.57	2.78						
Payout ratio	NM	NM	70.0%	70.0%	70.0%						
Shares outstanding	6,366	6,366	6,366	6,366	6,366						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,200	10,632	8,849	8,458	12,228	Gross margin	5.0%	3.2%	7.2%	7.5%	7.9%
Accounts receivable	14,437	12,024	13,047	13,902	14,317	EBITDA margin	2.4%	1.7%	5.9%	5.9%	6.3%
Inventories	24,212	17,297	19,626	20,848	21,372	EBIT margin	(2.1%)	(4.3%)	(0.3%)	(0.0%)	0.4%
Other current assets	49,016	115,471	115,471	115,471	115,471	Net profit margin	(0.6%)	(5.7%)	6.4%	7.8%	13.3%
Current assets	105,865	155,424	156,992	158,679	163,387	ROE	(0.4%)	(3.1%)	3.0%	3.9%	7.0%
PP&E	113,331	118,302	115,523	112,542	109,360	ROA	(0.2%)	(1.9%)	2.0%	2.5%	4.5%
LT investments	244,305	251,993	257,865	258,539	262,641	ROCE	(1.4%)	(1.7%)	(0.1%)	(0.0%)	0.1%
Other non current assets	33,329	31,784	31,784	31,784	31,784	SG&A/Sales	6.3%	6.6%	6.6%	6.6%	6.6%
Total assets	496,830	557,502	562,164	561,544	567,172	Net debt/Equity	0.3	0.0	0.1	0.1	0.1
Short term borrowings	87,530	52,416	52,416	55,569	60,569	Net debt/EBITDA	16.9	3.9	1.8	2.3	2.2
Payables	28,427	22,848	24,243	25,753	26,400	Sales/Assets (x)	0.4	0.3	0.3	0.3	0.3
Other short term liabilities	674	564	564	564	564	Assets/Equity (x)	1.6	1.6	1.5	1.5	1.6
Current liabilities	116,631	75,828	77,223	81,885	87,533	Interest cover (x)	2.0	1.1	3.3	3.4	3.6
Long-term debt	53,065	78,233	78,233	78,233	78,233	Operating leverage	(229.8%)	(655.0%)	6683.4%	(1399.7%)	(60108.0%)
Other long term liabilities	38,154	40,219	40,219	40,219	40,219	Tax rate	(49.0%)	(1.6%)	17.0%	17.0%	17.0%
Total liabilities	207,849	194,280	195,675	200,337	205,985	Revenue y/y Growth	0.5%	(12.3%)	(1.4%)	6.6%	3.0%
Shareholders' equity	288,981	363,222	366,489	361,207	361,188	EBITDA y/y Growth	25.2%	(36.8%)	234.9%	6.8%	9.1%
Minority interests	0	0	0	0	0	EPS y/y Growth	(116.8%)	715.8%	(210.7%)	28.7%	76.9%
Total liabilities & equity	496,830	557,502	562,164	561,544	567,172						
BVPS	45.40	57.06	57.57	56.74	56.74	Valuation					
y/y Growth	(16.8%)	25.7%	0.9%	(1.4%)	(0.0%)		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	81,777	11,880	18,663	24,706	25,936	P/E (x)	NM	NM	31.4	24.4	13.8
						P/BV (x)	1.2	1.0	1.0	1.0	1.0
						EV/EBITDA (x)	89.1	118.0	35.9	34.2	31.4
						Dividend Yield	0.9%	0.9%	2.2%	2.9%	5.1%

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

1326.TW, 1326 TT
Price (09 Jul 26):NT\$60.00

▲ **Price Target (Jun-27):NT\$70.00**
Prior (Jun-27):NT\$60.00

Head of Asia Energy & Chemicals | Asia EV Battery

Parsley Ong ^{AC}

(65) 6882-8578

parsley.rh.ong@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	2.06	3.36	63.2%
Adj. EPS - 27E (NT\$)	2.81	4.42	57.5%

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	35	60	76	66	55
Growth	93	99	58	56	88

Figure 20: FCFC quarterly earnings

Unit: NTD in millions	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26e	3Q26e	4Q26e	2022	2023	2024	2025	2026e	2027e	2028e
External Revenue	7,909	73,548	69,576	65,001	81,749	87,154	90,903	69,297	379,897	332,620	348,608	287,034	329,103	334,170	347,752
Operating Income	8,447	8,520	(215)	(174)	3,836	2,636	3,076	1,616	(5,286)	(3,050)	(1,555)	(4,044)	11,163	8,415	9,429
Petrochemicals (PX/PTA/SM/phenol/PIA)	(902)	(2,894)	(742)	(1,117)	2,388	736	896	157	(1,403)	686	(1,866)	(5,655)	4,177	3,578	4,198
Low Vol (ABS/PP/PE/PS)	5	(24)	17	(477)	(83)	(770)	584	838	1,107	525	(615)	(2,749)	(1,096)	1,263	1,658
Others	478	852	611	1,713	864	1,061	1,072	934	(3,268)	(987)	1,407	2,966	3,931	3,574	3,574
FCFC	99	99	92	93	99	99	99	99	-1.4%	-0.9%	-0.4%	-1.4%	3.4%	2.5%	2.7%
OPM	0.6%	3.4%	-0.3%	-0.3%	4.7%	3.0%	3.4%	2.3%	-1.4%	-0.9%	-0.4%	-1.4%	3.4%	2.5%	2.7%
Other Income (FPC, NYT, NPC)	(763)	(2,854)	620	1,076	698	903	957	(3,174)	12,608	3,516	342	(2,012)	(615)	6,424	17,223
Equity Income (FPCC 24.15%)	788	(1,694)	1,919	36	2,761	3,481	(636)	874	2,268	6,921	2,150	1,048	6,480	7,532	13,298
Total Non-op Income	25	(4,549)	2,538	1,111	3,459	4,384	322	(2,300)	14,876	10,437	2,492	(964)	5,865	13,956	30,521
Pre-tax Income	(422)	(7,068)	2,324	937	7,295	7,020	3,398	(684)	9,590	7,386	937	(5,008)	17,028	22,371	39,951
Parent NI	(442)	(6,840)	1,780	1,113	6,245	6,093	3,742	1,994	7,359	8,548	379	(4,389)	19,712	25,897	46,249
EPS	(0.08)	(1.17)	0.30	0.19	1.07	1.04	0.64	0.34	1.26	1.46	0.06	(0.99)	3.36	4.42	7.89
ROE%					(0.10)				2%	3%	0%	-2%	6%	7%	12%
Consensus									22y	23y	24y	25y	26y	27y	28y
Sales	80,789	78,195	73,622	75,231	69,440	78,604	77,521	75,730	384,665	323,470	353,428	308,973	313,605	305,170	327,649
OP	(137)	(1,175)	(237)	(1,267)	50	2,082	514	285	(1,166)	(2,525)	(211)	(4,609)	6,782	5,527	1,753
NP	102	(5,984)	3,027	(3,097)	327	1,592	868	438	13,751	9,308	3,195	(5,953)	11,843	11,824	23,599
EPS	(0.01)	(0.44)	0.28	0.06	0.13	0.41	0.32	0.22	2.38	1.61	0.52	(0.90)	1.80	1.48	4.03
Sales									-1%	3%	-1%	-7%	5%	10%	6%
OP									353%	21%	635%	-12%	65%	52%	438%
NP									-46%	-9%	-87%	-26%	66%	119%	96%

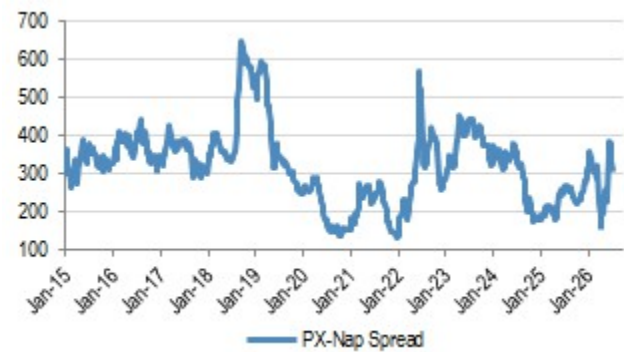
Source: Company data, J.P. Morgan estimates.

Formosa Chemicals and Fibre Corp

3Q volume/margin tailwind; mid-LT recovery on aromatics spread

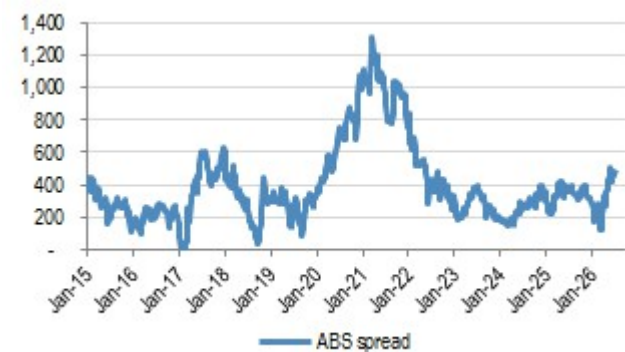
- PX spread rose to highest in two years.** The Asia PX spread saw >130% rebound from the Apr trough to \$380/t into June as the naphtha cost eased, with the MTD spread trending at \$374/t, surpassing the pre-conflict margin of \$305/t and reaching the highest level since 4Q23. On the flip side, the domestic PET chip spread has registered 6 consecutive weeks of compression, reversing a 60% of the gain since ME escalation. Early into the conflict, the spread response diverged across the value chain – the PX margin saw a quick collapse as the naphtha price surged, while cost pass-through and panic buying at downstream drove margin expansion for polyester products. However, such trends started to reverse in May/Jun: as the feedsotck price eased while weak fiber/yarn demand seasonality dragged downstream. However, the PX margin sustained the upward trend as a deeper domestic run cut (-2.2pct in May, the lowest since Aug 2025) and record-low Asia utilization (May: 47%) kept supply tight, as evidenced by China's >30% m/m drop in May imports. Going into Jul, we expect the return of PTA capacity previously under maintenance (Yisheng, Hengli, Dusan Energy etc) to keep PX S-D fundamentals firm, supporting regional margins.
- Earnings and PT changes:** We raise FY26-27E NP by 58-65% to reflect improved ABS/PX spreads and higher dividend income from NYT/NPC. This results in a hike in PT to NT\$70, based on an unchanged 1.1x P/B multiple.

Figure 21: PX-naphtha spread (\$/t)



Source: Bloomberg Finance LP, J.P. Morgan

Figure 22: ABS spread (\$/t)



Source: Bloomberg Finance LP, J.P. Morgan

Price Performance



	YTD	1m	3m	12m
Abs	86.9%	24.4%	31.6%	164.3%
Rel	30.3%	22.9%	1.5%	63.0%

Company Data

Shares O/S (mn)	5,861
52-week range (NT\$)	73.00-21.80
Market cap (\$ mn)	10,925
Exchange rate	32.19
Free float (%)	65.7%
3M ADV (mn)	39.29
3M ADV (\$ mn)	66.4
Volatility (90 Day)	70
Index	TAIEX
BBG ANR (Buy Hold Sell)	8 1 1

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	287,034	329,103	334,170	347,752
Adj. EBITDA	10,985	26,251	23,561	24,632
Adj. EBIT	(4,044)	11,163	8,415	9,429
Adj. net income	(5,797)	19,713	25,898	46,249
Adj. EPS	(0.99)	3.36	4.42	7.89
BBG EPS	(0.90)	1.80	1.48	4.03
Cashflow from operations	25,105	23,324	33,308	47,292
FCFF	13,593	12,389	22,044	35,917
Margins and Growth				
Revenue Growth Y/Y (%)	(17.7%)	14.7%	1.5%	4.1%
EBITDA margin	3.8%	8.0%	7.1%	7.1%
EBITDA Growth Y/Y (%)	(19.5%)	139.0%	(10.2%)	4.5%
EBIT margin	(1.4%)	3.4%	2.5%	2.7%
Net margin	(2.0%)	6.0%	7.7%	13.3%
Adj. EPS growth	(1626.0%)	(440.0%)	31.4%	78.6%
Ratios				
Adj. tax rate	(15.2%)	15.2%	15.2%	15.2%
Interest cover	3.6	8.6	8.4	9.0
Net debt/Equity	0.0	NM	NM	NM
Net debt/EBITDA	0.6	NM	NM	NM
ROCE	(1.0%)	2.0%	1.4%	1.6%
ROE	(1.8%)	5.5%	7.0%	11.9%
Valuation				
FCFF yield	3.9%	3.5%	6.3%	10.2%
Dividend yield	1.0%	4.2%	5.5%	9.9%
EV/Revenue	1.4	1.2	1.1	1.0
EV/EBITDA	35.8	14.7	15.9	14.4
Adj. P/E	NM	17.8	13.6	7.6

Summary Investment Thesis and Valuation

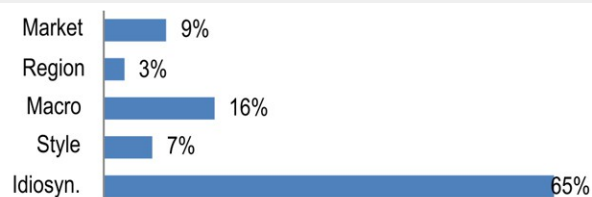
Investment Thesis

We are OW on FCFC due to it having the highest leverage to PX/aromatics/ABS within the Formosa group, where we expect margins to improve given a slowdown in global capacity additions. Below the OP line, FCFC is also set to benefit from a rise in dividend income from other Formosa Group companies (NYT, NPC, etc). We expect NP to have bottomed out in 2025 at -NT\$5.5bn and rise in the coming years on the back of improved dividend income and chemical spreads.

Valuation

Our Jun-2027 PT of NT\$70 is based on a historical 10- year average P/B of 1.1x, to reflect FCFC's improvement in ROE to 7% by 2027

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.40	0.31
Region: Taiwan	-0.11	-0.18
Macro:		
JPM China A-shares Sentiment	-0.55	-0.30
Emerging Central Bank Rate	0.14	0.23
US 10 Year Yield	-0.32	-0.20
Quant Styles:		
Momentum	0.35	0.14
Quality	0.00	-0.13
Size	0.24	0.09

Investment Thesis, Valuation and Risks

Formosa Chemicals and Fibre Corp (*Overweight; Price Target: NT \$70.00*)

Investment Thesis

We are OW on FCFC due to it having the highest leverage to PX/aromatics/ABS within the Formosa group, where we expect margins to improve given a slowdown in global capacity additions. Below the OP line, FCFC is also set to benefit from a rise in dividend income from other Formosa Group companies (NYT, NPC, etc). We expect NP to have bottomed out in 2025 at -NT\$5.5bn and rise in the coming years on the back of improved dividend income and chemical spreads.

Valuation

Our Jun-2027 PT of NT\$70 is based on a historical 10-year average P/B of 1.1x, to reflect FCFC's improvement in ROE to 7% by 2027

Risks to Rating and Price Target

Downside risks to our earnings/PT include: (1) lower than expected PX/aromatic spread; (2) slower than expected ABS spread recovery; (3) a large slowdown in global GDP/PMI.

Formosa Chemicals and Fibre Corp: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	348,608	287,034	329,103	334,170	347,752	Cash flow from operating activities	19,164	25,105	23,324	33,308	47,292
COGS	(334,553)	(277,707)	(302,609)	(310,189)	(322,124)	o/w Depreciation & amortization	15,198	15,029	15,088	15,146	15,202
Gross profit	14,055	9,327	26,493	23,981	25,629	o/w Changes in working capital	(189)	13,709	(4,908)	(86)	(651)
SG&A	(15,610)	(13,371)	(15,330)	(15,566)	(16,199)	Cash flow from investing activities	(14,830)	(5,776)	(14,315)	(14,315)	(14,315)
Adj. EBITDA	13,643	10,985	26,251	23,561	24,632	o/w Capital expenditure	(12,431)	(14,315)	(14,315)	(14,315)	(14,315)
D&A	(15,198)	(15,029)	(15,088)	(15,146)	(15,202)	as % of sales	3.6%	5.0%	4.3%	4.3%	4.1%
Adj. EBIT	(1,555)	(4,044)	11,163	8,415	9,429	Cash flow from financing activities	(5,245)	(26,388)	(2,617)	(12,384)	(17,073)
Net Interest	(3,409)	(3,042)	(3,042)	(2,797)	(2,742)	o/w Dividends paid	(7,338)	(2,941)	(3,517)	(14,784)	(19,423)
Adj. PBT	937	(5,008)	17,028	22,371	39,951	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	187	(763)	2,595	3,409	6,088	o/w Net debt issued/(repaid)	519	(30,328)	(9,100)	(7,600)	(7,650)
Minority Interest	(743)	(26)	90	118	210	Net change in cash	511	(7,188)	6,393	6,609	15,904
Adj. Net Income	380	(5,797)	19,713	25,898	46,249	Adj. Free cash flow to firm	9,903	13,593	12,389	22,044	35,917
Reported EPS	0.06	(0.99)	3.36	4.42	7.89	y/y Growth	(4241.6%)	37.3%	(8.9%)	77.9%	62.9%
Adj. EPS	0.06	(0.99)	3.36	4.42	7.89						
DPS	0.50	0.60	2.52	3.31	5.92						
Payout ratio	771.4%	NM	75.0%	75.0%	75.0%						
Shares outstanding	5,861	5,861	5,861	5,861	5,861						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	24,382	17,194	23,587	30,196	46,101	Gross margin	4.0%	3.2%	8.1%	7.2%	7.4%
Accounts receivable	29,872	23,000	30,310	30,777	32,028	EBITDA margin	3.9%	3.8%	8.0%	7.1%	7.1%
Inventories	42,311	33,170	33,170	33,170	33,170	EBIT margin	(0.4%)	(1.4%)	3.4%	2.5%	2.7%
Other current assets	59,041	115,217	115,217	115,217	115,217	Net profit margin	0.1%	(2.0%)	6.0%	7.7%	13.3%
Current assets	155,605	188,580	202,283	209,359	226,514	ROE	0.1%	(1.8%)	5.5%	7.0%	11.9%
PP&E	153,921	150,238	152,242	154,188	156,079	ROA	0.1%	(1.1%)	3.6%	4.6%	8.1%
LT investments	120,564	133,256	133,256	133,256	133,256	ROCE	(0.3%)	(1.0%)	2.0%	1.4%	1.6%
Other non current assets	60,859	66,868	66,868	66,868	66,868	SG&A/Sales	4.5%	4.7%	4.7%	4.7%	4.7%
Total assets	490,950	538,942	554,649	563,672	582,718	Net debt/Equity	0.3	0.0	NM	NM	NM
Short term borrowings	96,543	63,721	63,721	58,721	53,721	Net debt/EBITDA	5.8	0.6	NM	NM	NM
Payables	15,102	12,798	15,201	15,582	16,181	Sales/Assets (x)	0.7	0.6	0.6	0.6	0.6
Other short term liabilities	15,769	13,539	13,539	13,539	13,539	Assets/Equity (x)	1.7	1.6	1.5	1.5	1.5
Current liabilities	127,414	90,058	92,461	87,842	83,441	Interest cover (x)	4.0	3.6	8.6	8.4	9.0
Long-term debt	53,401	63,845	63,845	63,845	63,845	Operating leverage	(1020.0%)	(906.4%)	(2565.8%)	(1599.2%)	296.7%
Other long term liabilities	0	0	0	(0)	(0)	Tax rate	19.9%	(15.2%)	15.2%	15.2%	15.2%
Total liabilities	180,814	153,903	156,306	151,687	147,286	Revenue y/y Growth	4.8%	(17.7%)	14.7%	1.5%	4.1%
Shareholders' equity	277,198	349,803	363,197	376,957	400,613	EBITDA y/y Growth	(5.3%)	(19.5%)	139.0%	(10.2%)	4.5%
Minority interests	32,938	35,235	35,146	35,028	34,818	EPS y/y Growth	(95.6%)	(1626.0%)	(440.0%)	31.4%	78.6%
Total liabilities & equity	490,950	538,942	554,649	563,672	582,718						
BVPS	46.50	59.01	61.29	63.64	67.68	Valuation					
y/y Growth	(19.7%)	26.9%	3.9%	3.8%	6.3%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	78,626	6,112	(281)	(11,890)	(32,795)	P/E (x)	925.7	NM	17.8	13.6	7.6
						P/BV (x)	1.3	1.0	1.0	0.9	0.9
						EV/EBITDA (x)	34.0	35.8	14.7	15.9	14.4
						Dividend Yield	0.8%	1.0%	4.2%	5.5%	9.9%

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Nan Ya Plastics Corp (1303.TW, 1303 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Apr-24	UW	58.60	52.5
13-Jan-25	UW	28.30	24
21-Sep-25	OW	39.25	50
20-Nov-25	OW	53.80	70
14-Jan-26	OW	62.20	80
25-Feb-26	OW	90.80	120
12-Apr-26	OW	81.60	125
21-Jun-26	OW	139.00	200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 02, 2001. All share prices are as of market close on the previous business day.

Formosa Petrochemical Corp (6505.TW, 6505 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 18, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
03-Aug-23	OW	79.60	95
13-Jan-25	OW	32.90	40
21-Sep-25	OW	38.90	42
20-Nov-25	OW	53.50	63
25-Feb-26	OW	52.40	60
12-Apr-26	OW	52.00	65

Formosa Plastics Corp (1301.TW, 1301 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 26, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Apr-24	N	71.50	79
13-Jan-25	N	31.45	32
21-Sep-25	N	38.40	34
25-Feb-26	OW	48.60	55
12-Apr-26	OW	46.95	60

Formosa Chemicals and Fibre Corp (1326.TW, 1326 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Apr-24	UW	55.90	52
13-Jan-25	UW	25.30	22
21-Sep-25	UW	29.00	25
25-Feb-26	OW	44.75	55
12-Apr-26	OW	45.45	60

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